

Piramal Finance. (PIRAMALFIN)

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Call: Feb 2026

2nd February , 2026

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BSE Scrip Code: 544597

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Mumbai – 400 051
NSE Symbol: PIRAMALFIN

Sub.: Transcript of conference call on the Unaudited Financial Results (Standalone & Consolidated) for the quarter and nine months ended 31st December, 2025

Dear Sir / Madam,

In continuation of our letter dated 16th January , 2026 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on 23rd January , 2026, on the Unaudited Financial Results (Standalone & Consolidated) of the Company for the quarter and nine months ended 31st December , 2025 .

The transcript of the said conference call is also hosted on the website of the Company
Concall_Transcript_Q3FY26_Piramal Finance Limited_January 23, 2026

Kindly take the same on record.

Thanking you.

Yours faithfully,
For Piramal Finance Limited
(Formerly known as Piramal Capital & Housing Finance Limited)

Bipin Singh
Company Secretary

Encl.: As Above.

Piramal
Finance
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Page 1 of 20

"Piramal Finance Limited
Q3 FY26 Earnings Conference Call"

January 23, 2026

MANAGEMENT :

MR. ANAND PIRAMAL – EXECUTIVE CHAIRMAN

MR. JAIRAM SRIDHARAN – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER

MR. RUPEN JHAVERI – GROUP PRESIDENT

MR. YESH NADKARNI – CHIEF EXECUTIVE OFFICER , WHOLESale LENDING

MR. VIKASH SINGHLA – CHIEF FINANCIAL OFFICER

MR. RAVI SINGH – HEAD, INVESTOR RELATIONS , STRATEGY & SUSTAINABILITY

1k Piramal ~ Finance

Piramal Finance Limited

January 23, 2026

Page 2 of 20

Moderator : Ladies and gentlemen , good day, and welcome to the Quarter -3 and 9 -Months ' FY 2026 Earnings Conference Call of Piramal Finance Limited .

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

The results materials are available on exchanges and the company's website , and you may refer to them during the discussion. Please note that today's discussion may include certain forward - looking statements , which must be viewed in conjunction with the risks and uncertainties that the company faces. These statements are based on Management's current expectations and are subject to uncertainty and changes.

On the call today, we have with us Mr. Anand Piramal – Executive Chairman , Mr. Jairam Sridharan – M.D. and CEO , Mr. Rupen Jhaveri – Group President , Mr. Yesh Nadkarni – CEO (Wholesale Lending) , Mr. Vikash Singhla – CFO , and Mr. Ravi Singh – Head (Investor Relations & Strategy).

I now hand the conference over to Mr. Anand Piramal for his comments. Thank you and over to you, sir.

Anand Piramal: Good afternoon everyone and thank you for joining us today on this call to discuss our December Results .

Our company delivered a strong performance in Q3, making it a strong

9 -month period of FY

'26 with robust progress across all the important parameters. Total AUM grew by 23% year -on-year to INR 96,690 crores . Led by expanding consolidated margins, stable risk and improving operating leverage , our 9-month FY '2 6 consol PAT now stands at above INR 1,000 crores versus INR 383 crores in the 9 months of FY '2 5. All this is without any major one -off gains in the last 9 months.

In a crucial development earlier this month, we received a n AA+ rating for our long -term debt from CRISIL. This will be pivotal in our journey of steady scale -up of the business and improving profitability.

In this context, it is also great to see that the price of our recent debt raising has been moving substantially lower. We recently announced the monetization of our stake in Sriram Life Insurance for INR 600 crores. This transaction is expected to conclude in Q4. We expect further monetization of our other investments in the coming quarters. Overall, there is encouraging consistency building in our numbers over the last several quarters. We are confident to meet our near-term and medium -term growth and profitability targets. tk Piramal "V Finance

Piramal Finance Limited

January 23, 2026

Page 3 of 20

With that, I will hand it over to Jairam and his team to share more details of the results.

Jairam Sridharan: Thank you, Anand. Good evening, everyone. In the second quarter of this financial year, we had introduced a framework for value creation and long -term alignment with our shareholders.

We have continued with that same framework this quarter. To refresh your mind, the framework has 3 drivers, we believe, for value creation for Piramal shareholders – growth, profitability and predictability. And supporting all these value drivers is our attempt to build a future -proof AI - native company.

Let me start my comments with an evaluation of our 3rd Quarter performance against this very framework :

Starting with growth :

If you look at Slide # 4 in our presentation, AUM was up 34% year -on-year in our Growth book. On a consolidated basis, AUM growth further improved to 23% year -on-year and is well on track to end the year over INR 1 lakh crores and end the year FY '28 at over INR 1.5 lakh crores, as we have mentioned in our medium -term plans.

The second vector of value creation is profitability, which is covered in the next slide, Slide #5:

Return on AUM of our Growth business increased further to 1.9% in the 3rd Quarter , compared to 1.7% in the second quarter and 1.3% in the 3rd Quarter of the last financial year. Leverage, i.e., AUM by equity, also continues to increase and is now at 3.5 at the end of the 3rd Quarter , compared to 2.9 in the same quarter last year. We continue to progress steadily towards our goal of 4.5 x to 5x on leverage and, of course, 3% on profitability, which I will come to next, the third vector in our value creation.

I would like you to look at the next slide, Slide # 6, and we will also refer a little bit to Slide # 34.

In the 3rd Quarter , Growth business delivered a profit before taxes of INR 427 crores, keeping up the steady and predictable trajectory of the last 8 quarters.

The 9 -month Growth business PBT has now crossed INR 1,000 crores. With that, our 9 -month consol PAT also stands at INR 1,004 crores without any major one -off gains in these 9 months.

The stability and predictability are also visible in our credit risk outcomes, with 90 -day delinquencies stable quarter -on-quarter and credit costs down 10 basis points quarter -on-quarter.

Let's now go one level deeper into our business performance metrics :

Starting with growth : tk Piramal "V Finance

Piramal Finance Limited

January 23, 2026

Page 4 of 20

AUM growth in our Retail business remains very strong. We ended the 3rd Quarter with a retail AUM growth of 34% year -on-year.

Our Mortgage business, comprising housing loans and LAP

, grew by 35% year -on-year to INR

53,958 crores. Mortgages account for 56% of the total AUM of the company and 68% of retail AUM. Retail AUM growth was well diversified across our 6 product categories, each one of them growing from between 20% to 60% year -on-year.

Wholesale 2.0 AUM was up 35% year -on-year in the 3rd Quarter , with both real estate and mid -market lending showing year -on-year growth trends which were very strong and around the 34% mark. Growth AUM was thus overall up 34% year -on-year to INR 91,460 crores.

Disbursements in retail were up 26% year -on-year, to INR 10,498 crores. This was however flat versus our performance in the second quarter. If you notice on Slide # 15, you will see a similar flattening of disbursement trajectory in Q3 last year as well. This is driven by an internal process - driven cyclical and not as much the market environment.

This year we have also kept pricing on all retail products quite firm in the 3rd Quarter versus the second quarter, as you will notice in product level pricing charts. In the face of a tightening competitive environment on rates, this has had a little bit of an impact as well. However, demand in retail remains very strong and you should expect healthy growth in retail disbursements in Q4, in line with the growth trajectory that you saw last year.

As shown on Slide # 19, our retail customer franchise grew by 22% year -on-year to 5.4 million. Our sourcing from cross -sell in unsecured disbursements remains in the 25% to 30% range and we hope to materially improve this in the coming years. As shown on the same slide, our cross-sell portfolio comes right now with significantly lower opex and significantly lower credit costs compared to the open market business.

We have consciously not expanded our branch network in the last 6 quarters. This is now likely to change. In Q4, we plan to take up a little bit of branch opening again. We expect to open a total of approximately 100 branches in Q4. Of these, about 25 are expected to be full -service branches, 25 new gold loan branches, and about 50 microfinance branches. The 2 major white spaces in retail that we have been speaking about for the last few quarters, microfinance and gold, will thus see us making meaningful steps forward in this coming quarter. So, that was on growth.

Moving on to margins :

On a consol basis, margins have continued to expand and are up 51 basis points year -on-year to 6.3%. Growth business margins were stable quarter -on-quarter. Cost of borrowing moderation was gradual in the 3rd Quarter as we saw no MCLR cuts at banks. tk Piramal "V Finance

Piramal Finance Limited

January 23, 2026

Page 5 of 20

We have so far experienced a transmission of about 25 basis points into our cost of borrowing

in this rate-cut cycle. We expect a further approximately 25 basis points in the months ahead. We are also actively working on our borrowing mix, taking up lower cost borrowing sources opportunistically. We recently announced our inaugural \$350 million long-term DFI funding from IFC and ADB. The total multilateral fundraising pipeline is up to \$500 million in this financial year.

This quarter saw a big company-level event that Anand referred to earlier, the upgrade by CRISIL to AA+ credit rating. This, we believe, has the potential to lower our cost of borrowing by 50 to 80 basis points once we churn our current borrowing stack out and replace it with new borrowing. The AA+ rating also offers us access to certain parts of the lending market that we could not access before, thus enhancing our ability to continue delivering industry-leading AUM growth. It can also aid expansion of Retail AUM and also potentially allows us to lever our balance sheet a little bit higher to lift steady-state ROEs by 3 to 4 percentage points.

On the income side, as shown on Slide #21, the yield on Retail AUM was broadly stable at 13.2%. The reported

fee, which was impacted by the processing fee amortization back in the first quarter of Financial Year '25, is consistently normalizing exactly as we guided, and is led by stable underlying fee collection. This story has probably 2 more quarters to play out and it should start becoming steady around that point.

On Retail opex, this continues to be one of the big stories in the company. The opex to AUM further came down by 10 basis points quarter-on-quarter to 3.8% in Q3. You will see this on Slide # 21.

We did see a cost impact of about INR 35 crores at the company level due to the new labour code, but opex ratios are able to absorb that impact and still retain their downward trajectory. We have now consistently reduced our opex to AUM ratio for 3 years. Branch and employee productivities have improved materially in this period, leading to a stark improvement in opex efficiency that you see.

As mentioned earlier, in the 4th Quarter, we are looking to restart our branch expansion. However, we expect continued productivity gains for our employees and our branches and with that we are confident to keep taking Retail opex to AUM ratio down towards our target of 3.25% to 3.75%. So, the growth in branches is not going to impact the downward trajectory of OPEX to AUM in any material way.

Tech and AI have been key enablers of our growth and productivity enhancement. On Slide 7, you will see that in the 3rd Quarter, our focus of AI efforts was on collections. We saw a lot of AI use cases in our collection's app, which is homegrown. We had optimization of allocation at Piramal Finance Limited

January 23, 2026

Page 6 of 20

channels for resolution using reinforcement learning techniques, use of speech to text to make collections dispositions richer, and real time.

AI collection bots have now started matching human collectors' performance. This means that we can now roll out AI plus human call centers to maximize resolutions. And then you also saw the implementation and expansion of our self-cure models across both secured and unsecured businesses. So, it's been another very busy quarter in terms of AI assets being rolled out across the company.

Coming to risk:

The risk performance of the company was solid with flat GNPA and Growth business credit costs coming down by 10 bps Q-o-Q. Retail is 87% of our Growth AUM, and risk performance in this segment has been an industry focal point over the last 6 to 7 quarters.

If you go to Slide # 22, you will see that for Piramal, 90 plus DPD in retail at 0.8% remains within the narrow range that we have maintained consistently over the last 3.5 years.

Some observations to be made on retail credit risk in the 3rd Quarter. Unsecured portfolio is showing steady improvement with delinquency down from 3rd quarter FY25 peak to now the lowest levels in the last 5 quarters. All products in unsecured have shown improvement, with segments like Microfinance now nearing long-term lows in their portfolio risk.

Within secured, used car loans showed an uptick in delinquencies in the first half of this financial year. Recent originations, however, suggest stabilization of this risk. Quality of recent originations is sharply better and should result in the 90 plus rate going down.

The LAP segment, we have been talking about it for the last couple of quarters, this segment has witnessed a gradual creep up in risk, even though in absolute terms risk still remains quite low. It needs monitoring of certain subsegments such as low tickets, high leverage customers and some marginal industry segments. We have been taking preventative actions to safeguard our portfolio now for the last 6 months.

Risk in the Home Loan segment remains solid and low with very stable delinquencies. Putting this all together, credit cost of the Growth business, as I mentioned before was down 10 basis points Q-o-Q to 1.6%.

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Before I step off the Retail commentary, I would like to share some people news with you. Jagdeep Mallareddy – the CEO of our Retail business ; and Sunit Madan – COO have decided to explore new opportunities outside Piramal. Jagdeep and Sunit's leadership helped create a strong foundation for our growth , and I wish them success in their next career stints. They will remain with us till March end to allow smooth transitions. tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 7 of 20

We have had a very strong leadership pipeline over the last few years and leveraging that, we have already announced elevation of the next set of leaders from inside our system.

I am happy to announce that Imtiaz Ahmed will take over as our Chief Business Officer and Vikas Arora will take over as our COO effective April 1. Imtiaz and Vikas will lead our retail team s as we enter the next phase of our evolution, and we wish them the very best.

Finally, let me come back to the overall company :

If I could point you to Slide # 12, at the start of the year, we had shared 5 targets and goals for the company for Financial Year '26. These were around AUM growth, different metrics on business mix and specific guidance on total consolidated P A T. With our strong performance in 9 months of FY '26, we remain very confident to meet all of these targets.

With this, I hand over the call to Yesh to discuss our Wholesale business. Y esh?

Yesh Nadkarni: Thanks a lot, Jairam , and hello everyone.

Our Wholesale 2.0 business continues to scale up steadily across Real Estate and Corporate Mid - Market segments as Jairam earlier alluded to. As of December 2025, our Wholesale 2.0 AUM stood at INR 12,047 crore s, reflecting a 35% year -on-year growth. Real Estate book contributed about 74% of this , while CMML occupied 26% share of the AUM.

Since the inception of Wholesale 2.0 in FY '22, we have disbursed a cumulative sum of little over INR 22,700 crore s across 341 loans. Currently, the portfolio comprises 158 real estate loans with an AUM of INR 8,891 crores , and 64 CMML loans with AUM of INR 3,156 crores.

During the 3rd Quarter , we disbursed INR 2,166 crores. Our average origination per loan was INR 75 crores , while our average disbursement per loan was INR 28 crores. This granular portfolio continues to demonstrate healthy economics with average ticket of INR 54 crore s and a stable effective interest rate of 14.5 %.

I am glad to note that despite a declining interest rate environment, we have been able to protect yields and NIM s. We continue to see a healthy disbursement pipeline across both real estate and CMML. At the same time, repayments remain elevated at 66% of disbursements during the quarter, which moderated net AUM growth. This trend has been consistent over recent quarters and reflects strong portfolio performance ahead of underwriting and robust asset quality.

From a macro standpoint, we continue to see strong tailwinds across Real Estate and Corporate Mid-Market segments. Home Sales continue to be strong. Corporate balance sheets are much cleaner now and are well capitalized. tk Piramal "V Finance

Piramal Finance Limited

January 23, 2026

Page 8 of 20

While competition remains strong for our business, we believe that we will continue to see strong take-up for our loans across the segments in which we operate. We will continue to grow this book in a thoughtful and calibrated manner over the coming quarters.

As far as our legacy wholesale business goes, we continue to remain focused on achieving our guidance of getting to a size of INR 3,000 crores to INR 3,500 crore s by March from the current level of INR 5,230 crore s which is already below 5% of total AUM today.

That brings me to the end of the Wholesale section , and I would now request Vikas h to take over to discuss financials .

Vikash Singla: Moving to our financial performance :

In

Q3 FY '26, we reported consolidated net profit of INR 401 crore s as against Q3 FY '25 net profit of INR 39 crore s.

Pro forma PBT for Growth business stood at INR 427 crore s, growth of 101% year -on-year over PBT of INR 212 crore s in Q3 FY '25. Growth business opex grew by 11% year -on-year versus income growth of 30% year -on-year. This included INR 35 crore s impact due to new labour code.

Operating profit thus grew by 55% year -on-year to INR 775 crore s. In Q3 FY '26, we reported Growth business credit cost of 1.6% versus 1.7% in Q2 FY '26. There was a tax writeback of INR 73 crore s in Q3 which is led by cash income tax refunds.

Our total GNPA and NNPA ratios stand at 2.6% and 1.9%, respectively. Our net worth stands

at INR 27,872 crore s with capital adequacy at 20.3% versus 20.7% in previous quarter.

With these remarks, I would now like to open the floor for questions. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh: Yes, hi. Good evening. Thanks for the opportunity. A few questions . Jairam , if I look at Slide 17, the salaried personal loan and digital , I just wanted some more color here on salaried side. If I see there is a ticket size of INR 4.5 lakh and disbursement yield is nearly 17.5%. So, what kind of a sort of a salaried customer these are and how the sourcing is being done here at that kind of a yield ? tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 9 of 20

And are the yields for both the salaried and digital net to you or it is the kind of a yield to customer? I mean, is it kind of catered for that intermediary cost or it's like a gross yield? And why sort of digital yields are lower here than your salary? So, that's question one.

Second question , more again on the medium -term perspective , I would say very-very confident guidance on growth and profitability being reaffirmed again. Now, if I were to look at the market, I would say Retail and SME, a number of your peers are now getting a lot of capital and some of the mid -sized bank also operate in this segment. Now, do you see that excess capital is now chasing the same growth pool or leading to some kind of compression in NIMs ? So, these are my 2 questions. Thanks.

Jairam Sridharan: Thanks, Avinash for your questions. Both really good questions. Firstly, let me explain what PL is in our context and how it differs from digital loans. PL is for us definitionally branch -originated business. So, it's personal loans to salaried individuals. And the whole thing is originated in the branch.

Digital loans could be both salaried and self -employed customers. They are originated digitally. The yields that you see here are all yields to us. These are not yield to customer s. The yield to us and yield to customer pretty much the same in branch here. So, that makes no difference. So, the 17 we get is the 17 the customer pays.

In digital, however, it is different. The yield to customer is actually much higher than what you see here. What we show here is the yield to us, net of what we pay off to our originating partners. The reason this number is smaller at 14 .5% odd, compared to the peer is that on the right -hand side, in the digital loans, we are working right now almost exclusively in an FLDG construct. So, roughly 95% of our originations right now are FLDG backed, which essentially means that our credit cost is near zero. And of course, all acquisition costs belong to the originating partner as well. So, the economics to us are actually very comparable between the 2. In fact, one could argue that it's slightly better in digital. But the economies are very comparable between the 2, even though digital shows up as slightly lower yields.

To your point on are such yields sustainable. You and I both know what has happened to the rate environment in the last 9 months. It has been tight. You see a lot of single -digit interest rates being offered for personal loans to top tier employees in the PL world. We have held on to 17 % plus throughout this entire period. Will we be able to maintain 17 % plus in Q4? It is not obvious to me , right? It is possible that in Q4 that number falls a little bit, but it's unlikely to do too much. So, I would not worry about it too much . On the margin , something will change, but it's generally a Q4 effect. I don't think anything structural has happened in that market.

Moving on to your second question on growth targets and the fact that we have continued to reiterate our 25 % AUM growth goal for the year, we feel very confident of our ability to get tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 10 of 20

there. As you have seen now, 9 months have gone. Our Growth book is growing at roughly 35 % and Growth book is now 95 % of our entire book. So, if 95% of your book is growing at 35 %, achieving 25 % doesn't seem like a really big ask.

And since it's AUM we are talking about, most of that is already in the back. So, we are not betting on any big, huge thing happening in Q4 for us to actually achieve that goal. So, I will continue to reiterate that 25 % is something that we will achieve at the end of the year as guided at the beginning of the year.

You had a question on whether excess capital is going to make this segment overheated or there is a margin compression possibility. See, in general, we are seeing a declining rate environment. In declining rate environments, margins do compress. We have not seen enough of that margin compression yet. RBI has cut rates by what, 125 basis points. We have not seen much margin compression at all so far. So, it's already surprising that we have not seen margin compression.

If there is a little bit more that happens from here on , in terms of RBI -led rate cut, yes, you should expect to see a bit of margin compression, but that's cyclical, not structural. I hope that was good , Avinash . Let's move to the next question.

Avinash Singh: Yes, ye s. One more, just if you can allow . In what sort of, if I see, I mean, of course, branch opening plans around gold and all. So, the 2 areas where you have been kind of open to inorganic , gold and microfinance. Is that inorganic option still, you are kind of a lookout for these opportunities or right now, it is more that you have decided both to build kind of organically in - house.

Jairam Sridharan: Thanks for that question, Avinash, it's a good one. Let me first, make a small errata , as I was speaking, Vikas and Imtiaz messaged me offline, I misspoke a little bit with respect to the 100 branches, so let me correct what I said before. 100 branches in Q4, the mix is 25 of them full service, 20 gold , and 55 microfinance. I think it's a slight modification to what I said before . Imtiaz and Vikas tell me that this is what they are going after in Q4 . So, slight modification there, but yes, we are opening branches . Yes, we are interested in gold and microfinance . And yes, we do remain interested in organic as well.

Good deals will come when they come, and you know what our multiples are on our stock, and gold companies are at a very different place right now . So, it might or might not be realistic for one to actually think about an acquisition at an appropriate price right now . But as an institution, Piramal has always had a DNA for M& A and has done it very successfully . Over the years, we continue to remain open in these 2 areas for any good, interesting opportunities.

Nothing very specific to report though, like there is no transaction that I need to talk about right now. tk Piramal "V Finance

Piramal Finance Limited

January 23, 2026

Page 11 of 20

Avinash Singh: Got it, got it . Thank you.

Moderator: Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead.

Abhijit Tibrewal: Yes, good evening , and thank you for taking my questions . Congratulations on a good quarter.

Jairam sir, first things first, i f you c ould just help us understand, how does our mortgage book behave?

Now, why I ask this is very often when we track monoline lenders in mortgages, they do talk about some PLR changes that are being passed on, given that they have seen some benefit in their cost of borrowings.

And like you also mentioned earlier in your opening remarks that we have also benefited , maybe 40 to 50 basis points out of the 125-basis points repo rate cut that has happened. Have we made any PLR changes in our mortgage book in this rate-cut cycle ? If yes, if not, what are your thoughts on this mortgage book going forward?

Jairam Sridharan: So, it's a good question, thank you , Abhijit for that. See, the way our book works is that we have one PLR across all products . So, we have a retail PLR, and we have a wholesale PLR . So, those are the 2 PLRs that we publish . So, retail PLR is applicable for all product categories in retail, whatever is variable rate linked, everything is linked to that. Its direct linkage is to overall cost of borrowing, as I said, and as you can see in our presentation, our cost of borrowing has fallen by about 24 bps to 25 bps so far in this rate cut cycle. We have not cut PLRs yet, so PLRs remain where they are.

The overall benefit to us has not been enough for us to actually do a cut yet. My expectation is that there will probably be, if the trends continue and if we do get further enhancements in our cost of borrowing , and we continue to get more pass -through on MCLR cuts from banks, you might see us do something in the first quarter of the next financial year, but so far we have not cut PLRs yet, and we do not have repo -linked lending, unlike the banks , etc., so we don't see any direct pass -through of repo rate cuts, because obviously we do not borrow in the repo market.

Abhijit Tibrewal: Got it. And to that end, we are not even seeing any elevated BT-out pressure, because we have not really cut PLRs, I mean, even that is holding up well.

Jairam Sridharan: Yes. It's holding up really well. It surprised me a bit, to be honest. One would have expected that we would see a little bit more, BT-out, but we have not seen it. It has held actually quite steady at sub -10% levels.

Abhijit Tibrewal: Got it, sir. And then a related question here, you said we benefited by about 24 -25 basis points in this rate cut cycle, and the fact that we got a new credit rating of AA+ from CRISIL , I mean, tk Piramal "V Finance Piramal Finance Limited

January 23, 2026

Page 12 of 20

is my understanding correct? We need one more AA + credit rating from any of the credit rating agencies for us to really start benefiting from our cost of borrowings?

Jairam Sridharan: You are correct. So, we are now rated by 3 rating agencies, 2 of the ones that we had originally,

which is ICRA and CARE, who currently have us at AA, and the new one, CRISIL, that now has us at AA+. We are speaking with all the other rating agencies in light of what happened with CRISIL, and I hope to have something to share with you in the next few weeks.

Abhijit Tibrewal: Got it. And then sir, LAP, used cars, you already gave out some color on your opening remarks, so if you could add some nuances to that, basically these are the 2 products that you have highlighted in the past as well. While LAP growth has been very strong across the industry, at the same time, there is some anxiety around, can LAP be the next product to exhibit some stress? Because I strongly feel, except maybe primary home loans, LAP and gold, practically every other retail asset class has shown some

thing or the other over the last 2, 3 years.

Jairam Sridharan: Yes. So, see, on LAP, this quarter gave us less reason to be anxious than the previous quarter. You saw me talk a lot about it in the previous quarter, because if you look at our Page 22, which shows our risk trajectory over the last 3, 3.5 years, you will see what has been happening to LAP, that very, very slow and steady creep upwards in risk that has been happening. But this quarter, you will see that that creep did not happen too much. It almost kind of flattened out a tad.

So, I do not know whether it is the beginning of something or what, but we did not see much more. We didn't see any improvements or anything, let me not kind of raise too many hopes there. But yes, this quarter was just a tad better than the previous quarter.

Having said that, the low end of LAP continues to struggle, less than Rs. 10 lakh LAP is pretty much dead in terms of risk performance, it's in really bad shape. So, I don't think that's coming back anytime soon. But larger LAPs are still holding up. And right now, larger the better. So, the large ticket is actually doing really nicely.

On used cars, the last 2 quarters have been kind of raising the alarm bell a little bit on what's happening here and how risk has really kind of ratcheted up. But this quarter was a little bit of an improvement. It kind of came down just a little bit. Nothing to celebrate yet. But when I see the horizontals, if you see on Page 23, the horizontals, you will see that the vintage risk has just started coming down in the second half of last year, which means that it will flow through in better risk in the future. So, small sign is that the Auto business, after having had somewhat poor credit risk in the first half of the year, is starting to actually get a little bit better. tk Piramal "V Finance
Piramal Finance Limited

January 23, 2026

Page 13 of 20

Abhijit Tibrewal: Got it. And sir, did you just mention that micro -LAP, small ticket LAP, still continues to do very bad because you have shared the same thing in the last quarter as well. And we saw all through last quarters.

Jairam Sridharan: Yes. We have exited that market for now. So, we will have to see. So, in that business, there is no good news to report.

Abhijit Tibrewal: Got it. And gold loans, which all geographies are we going to target first?

Jairam Sridharan: I do not want to talk about it yet. We have a marketing plan, and I want to be ready from a PR perspective, etc. We are going to 2 states; I will tell you that. We are starting in exactly 2 states. But I do not want to talk about it yet, till we are ready with our local marketing plans, etc., and then you will hear it from us in the next few weeks. Vikas, who's on the call, is personally driving that under his leadership. We feel very good about our ability to go live. I know I have been talking about gold for a few quarters, and it has been a bit delayed in terms of launch, but this quarter we will get it done.

Abhijit Tibrewal: Got it. And sir, I just want to squeeze in one last question, because this has been coming from investors for the last week or so, just trying to understand. First things first, congratulations to Imtiaz and Vikas for taking over as C BO and COO, respectively. But with regards to Jagdeep and Sunit Madan, did we try to understand whether they are going to a peer or they are trying to start something of their own?

Jairam Sridharan: We know exactly where they are going, but it's up to them to tell you and their new employer to tell you. You will know soon enough, man. It will be very public very soon. So, it's not our place to talk about it. You know, you will see it. And we wish them well. They are going to a good place. It will all be good. And you will all know it very soon.

Abhijit Tibrewal: Sure, sir. This is useful. Thank you for patiently answering all my quest

ions. And I wish you and your team the very best.

Jairam Sridharan: Thank you, Abhijit.

Moderator: The next question is from the line of Kushagra Goel from CLSA. Please go ahead.

Kushagra Goel: Hi, sir. Thank you for taking my question. So, just 2 questions. One was I wanted to understand this internal process seasonality, which you mentioned in your opening remarks. How should we think about it? Second was on the tenure of the Wholesale 2.0 portfolio. So, that seems to be coming down. What's the impact there? Is it just driven by the prepayments or how is that

happening? So, yes, those are my 2 questions. tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 14 of 20

Jairam Sridharan: Okay. On the first one, I am not going to give a lot of detail on this. Pardon me on this. It's a little bit of a secret sauce of ours. There is something we like to do in the first half of the year, which we have been doing for the last 2 years with great success. And that's front loading a little bit of our growth in the year and is helping us from a profitability perspective for the full year. It is something a little bit different than what a lot of our peers do. I do not want to share too many details on it, honestly. But suffice to say that it is a choice that we make internally on how we run our business, and it has worked really well for us and I would like to continue that in the future. So, it's a very conscious thing.

On tenure, you want to speak?

Yesh Nadkarni : Well, the reduction in tenure is mainly driven by repayments, right? If you can actually look at the data on Page 25, about 66% of what we are disbursing is getting repaid, right, quarter on quarter. So, that really is how it works. But having said that, I think as we grow the book from here, I think we will soon see that number stabilize and probably go up.

Kushagra Goel: Okay. Got it. Also, one more question if I can just squeeze in.

Jairam Sridharan: Carry on.

Kushagra Goel: So, regarding your profitability guidance, right now, I believe in 9 months, we have already reached INR 960 odd crores. So, in 4th Quarter, are you also going to get some one-off gains. So, how are you thinking about that?

Jairam Sridharan: Okay. So, see, at a consol level, we are at a little over INR 1,000 crores, about INR 1,004 crores, I think in 9 months, and INR 1,066 crores at the Growth level. So, yes, we have come a very long way already. And your point is absolutely right. Our significant one-off gain that we have mentioned in the past is slated to come in Q4 as well.

Our intent, we are not changing our guidance on profits. We will retain it as it is. You do see that we still have about INR 5,200 crores of legacy book. Any incremental gains we have, if we need to take some action to set off against future impairments on the legacy book, etc., we might end up kind of using on that. Our intent is going to be to strengthen the balance sheet as opposed to taking a lot more into P&L. Let me just leave it at that. Rest, for the wise, a hint is enough.

Kushagra Goel: Sure. Thank you.

Moderator: Thank you. We will take the next question from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Thanks for the opportunity. tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 15 of 20

Jairam Sridharan: Hi Prithvi.

Prithviraj Patil: Hi. Thanks for the opportunity. So, I just had one question. I see the stage GS1, GS2, GS3 disclosures, and I see that the legacy assets in the retail book has slipped into GS2. I just wanted to know what's the reason behind that, and is there anything to look through the numbers?

Jairam Sridharan: I did not understand the question. Which slide? Just tell me a little bit about which slide you are looking at.

Prithviraj Patil: I looked at the Stage -1 disclosures that are given, and I just ca

lculated the GS2 numbers for the legacy assets. So, it appears that Stage -2 has increased in the legacy book and the retail book. So, I just wanted to know.

Jairam Sridharan: In retail book, in absolute terms book is growing so the number is increasing.

Ravi Singh : So, the Stage -2 Growth book number for Q2 is 1,525.

Jairam Sridharan: Actually, Growth assets was 1,525, Stage -2 in Q2. It has come down to 1,503 in Q3. So, it's kind of stable. If anything, it has come down a tad. As far as the legacy is concerned, it was ~INR 150. Now it is ~INR 200. There is nothing there. There is nothing to report, let me just say. There is no meaningful event here. There will be some small accounts go here and there. But there is really nothing to report. It's fine.

Prithviraj Patil: Okay, This was there in the data book that was shared.

Jairam Sridharan: Ravi and his team will connect with you offline and let's just make sure that we square off the numbers with you.

Prithviraj Patil: Yes, thanks.

Jairam Sridharan: Thank you.

Moderator: Thank you. The next question is from the line of Harshit Toshniwal from Premji Invest. Please go ahead.

Jairam Sridharan: Hi Harshit.

Harshit Toshniwal: Hi Jairam. Thanks for the result and allowing me to ask a question. Actually, I had 2 questions.

One was a bit related to the last one itself that, as you pointed out, actually Stage -2 has reduced, but Stage -3 in Retail has seen some uptick from 1.8 % to 2% sequentially. So, if you can throw some color , more on the recovery aspect of it, that is it a particular asset category or asset class where you have seen recovery to be slightly tricky and which is why that has fallen. tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 16 of 20

And the second was one on the management transition itself. So, our understanding was that for the current setup, Jagdeep and Sunit had a very relevant role in terms of the sales reporting and one on for the credit and everything operations.

Now, just want to get a sense that in terms of the bandwidth, in terms of capability, in terms of how you want to shuffle the roles, how should we expect as investors specifically from the Management stability point of view?

Jairam Sridharan: Sure. I will come to that. Let me take your first question on what's happening to stage. There is nothing happening in Stage -2, Stage -3. The delinquency numbers are the best numbers to look at if you are looking for Stage -3, because in retail, Stage -3 and delinquency are pretty much the same number, except that delinquency numbers cut off at 179, whereas gross Stage -3 continues on till infinity.

So, if you are looking for recent trends on what is happening in terms of new additions to bad book, delinquency is a better metric than Stage -3, because Stage -3 will just keep retaining really old books in its numerator. And as you can see in the delinquency, delinquency rates at a portfolio level have been very, very stable. So, nothing really has happened.

LGD, if anything, has improved, except in auto , where it has fallen a little bit. But in every other business, LGD has remained the same or improved. And PD numbers anyway are there in the delinquency numbers. As you can see, they are very, very stable. So, there is nothing really going on.

The way to think about Stage -2 and Stage -3, etc., in retail is that asset classification is formulaic in retail. Nobody is sitting and thinking about whether to classify this asset as a Stage -1 or 2 or 3. Everything is in the system. It's a pure formula based on days past due. And automatically, accounts get classified as such.

And similarly, the provisions also just happen automatically by the system. So, there is no judgment involved in any of that. And for you to get a sense of what the risk is in the stock that is open in the balance sheet, the delinquency metrics, I would argue, a

re the best metric. And

that's why we show them with such a long duration timeline to give you a little bit of a sense of what's going on there. And while 1 or 2 businesses keep going up and down every quarter, on an overall basis, there has been a lot of stability. And that's what you should take away, that there is a lot of stability in the overall risk level.

On your management structure point, yes, the way we were structured is that Jagdeep was responsible for the revenue side of things and growth side of things. And Sunith was responsible for the control side of things. That is exactly the structure that we are continuing. So, Imtiaz is responsible for the growth side of things , and Vikas is responsible for the control side. And so, tk Piramal "V Finance
Piramal Finance Limited

January 23, 2026

Page 17 of 20

nothing should change. They are both very familiar with the way these roles operate and how we have run our business over the last 6 years.

And coming as insiders to the system, there is absolutely no ramp up time there. And they do have 2.5 months of full transition. So, I expect zero dislocation. As investors, you should not worry about it at all. And you will get to meet the new leadership team as and when we catch up. There is no reason for you to feel like there will be any disruption of any kind.

Harshit Toshniwal: Got it. And one last thing, if I missed , is that while I think we have performed exceptionally well on the cost from where we were 2 years back. But if I look at our business construct, which is 60%-65% secured portfolio, home loan , LAP primarily. And even when I look at probably the kind of yields that it can generate because of its business construct itself.

Even when I look at our long -term cost -to-asset guidance of 3.2 to 3.7, I actually am trying to sense that it will still be higher than probably what our 60 -40 for home loan , LAP versus other product business mix will be able to gather. So, just want to understand that on cost -to-assets . I think what is internally, because obviously we have come across long way, but still, we are at a base where there remains a reasonable amount of scope for improving that in the DuPont. So, I want to get your sense on that.

Jairam Sridharan: Yes. So, my boss is sitting right in front of me , and he really wants to jump in and answer this question, but I really do not want him to.

Anand Piramal: You are sounding like me.

Jairam Sridharan: Yes, Anand is saying you are sounding like him. So, this is exactly what he tells me all the time. So, yes, there is some merit to what you are saying. Here's the way we have approached this, right? We have looked at a peer group of affordable housing players, of auto financiers, of unsecured lending financiers, and created a group. And based on that, we have done our benchmarking. Our understanding is that doing the weight average between these 3 businesses in the way they are set up in our book, we get to basically 3.2% for us to get to the 75th percentile on cost-to-assets. That's our analysis of the entire sector right now. And that's the reason why we have set up this 3.25% to 3.75% as our range. But as you have seen in the last 3 years, basically every quarter we have brought down opex to assets. We will continue to push that. We will see where we get to. I know as owners, it is absolutely your right to expect the best from us, and to push us, and I fully take that on board. And we will continue to push ourselves and do well. Right now, I am benchmarking to about the 75th percentile, which gets us to about 3.20%. So, we will see where we are at. tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 18 of 20

Harshit Toshniwal: Got it. Perfect. Thanks a lot.

Jairam Sridharan: Well, no thanks to you for setting a target for me. All right, let's move on.

Moderator: Thank you. We will take the next question from the line of Vikram Damani from Damani Family Office. Please go ahead.

Vikram Damani: Okay, I will just jump right into it. On Slide 15, I see that your retail disbursements have slowed down INR 500 crores quarter on quarter. Anything you want to call out?

Jairam Sridharan: Nothing. It will all come back. Do not worry about it. It will come back. The kind of growth you saw in Q3 to Q4 last year, you will see a similar kind of growth in Q3 to Q4 this year.

Vikram Damani: Okay, lovely. That's the only one that was left for me. Thank you. Have a good day.

Jairam Sridharan: Thank you, Vikram.

Moderator: Thank you. We will take the next question from the line of Anusha Raheja from Dalal and Broacha. Please go ahead.

Anusha Raheja: Yes, thanks for taking my question, and congratulations on great set of numbers. Sir, on the DHFL assets that we have acquired, so how much is the principal or the interest amount that we are supposed to pay, say, for example, any calculation there for the next 2-3 years?

Jairam Sridharan: See, DHFL assets are now fully integrated into our overall AUM books. So, we are not doing any separation on that. From the original book, we have about INR 7,000 crores left. About INR 7,000 crores in our AUM comes from DHFL, everything else is now Piramal originated.

Basically on the liability side, we took on about INR 19,000 crores was our original issuance. What is left right now is about INR 15,000 crores. We will keep repaying it in tranches. I think the first big tranche comes due next year, where big principal repayments are coming. It is carried on our book at about 7.25% effective yield. So, it will start going off in small tranches starting next year.

And at 7.25%, since our incremental right now, as Anand mentioned in his opening remarks, is right now already around the 8 mark. And with a little bit of rating improvement, it will hopefully get a little bit better. So, our replacement cost is going to be something similar. So, it is going to have no meaningful effect on our overall cost of borrowing is our expectation.

Anusha Raheja: So, to pay those borrowings, are you going to raise it? Or it is going to get funded by the existing borrowing? So, will that result in increase in the C/P ratio? tk Piramal "V Finance
Piramal Finance Limited
January 23, 2026

Page 19 of 20

Jairam Sridharan: No, we will not raise CPs. This is long-term borrowing, so we will not raise CPs. We will do NCDs to borrow against this. My expectation is by the time this comes due, we should be able to raise NCDs at roughly this price. So, replacement will not be meaningfully negative.

So, you should not consider this as a big material event. There will be some impact, some small impact, but we should be able to absorb it in our overall cost of borrowing given our recent ratings action.

Anusha Raheja: Okay, and just one last thing. So, the calculation that we are working on, that PAT of around INR 3,000 odd crores and INR 4,500 odd crores by FY '28, so this bakes in this NCD payment as well, right?

Jairam Sridharan: Yes.

Anusha Raheja: Okay. Fine. Thank you so much.

Jairam Sridharan: Thank you.

Moderator: Thank you. The next question is from the line of Vikram Damani from Damani Family Office. Please go ahead.

Vikram Damani: Hi, it's me again. Sorry, just wanted to check one more thing. What's the timeframe to set up the 100 new branches and additional Capex that you guys expect to spend?

Jairam Sridharan: This quarter, 100 is for this quarter. 25 full -service branches, about 20 gold loans branches and about 55 microfinance branches. Everything will happen in this quarter. And the Capex here is very, very small. As I said, our overall goal on opex to AUM remains the same. That trajectory you should continue to expect.

We will calibrate our branch growth strategy to make sure that we are able to give you a g

ood

smooth trajectory on opex to assets.

Vikram Damani: Super. And then anything beyond the 100 branches or this is it?

Jairam Sridharan: Yes, yes, next year we will open some more , but I am not ready to talk about it yet. We are still thinking through it.

Vikram Damani: Okay. Super. Thank you so much.

Jairam Sridharan: Thank you.

Moderator: The next question is from the line of Rahil S. from Sapphire Capital. Please go ahead. tk Piramal "V Finance
Piramal Finance Limited

January 23, 2026

Page 20 of 20

Rahil S.: Good evening, sir. Given this total AUM trajectory going ahead up till FY '28, so until we reach the journey, if you can sort of paint a picture about the ROA as well and the NIMs too, how does it function?

Jairam Sridharan: Yes. So, if you look at Page number 5, this is our kind of long -range goals, what we are targeting. Return on AUM, we want to target around the 3% mark , and you can see the progress we have made over the last 2 years.

And similarly, on the right -hand side, from an AUM to equity standpoint, we want to be in the 4.5x to 5x kind of range, and we have come now to about 3 .5x. So, you can see the trajectories. Both these trajectories are kind of self -evident in terms of how close we are to that long range goal.

We remain confident that the business is well positioned to get to those outcomes over the next 2 to 3 years.

Rahil S.: Okay. That's it from my side. Thank you so much.

Jairam Sridharan: Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over back to Mr. Jairam Sri dharan for closing comments. Thank you and over to you, sir.

Jairam Sridharan : Yes, thanks. I will take it here. One quick erratum again, I mentioned that the NCDs of DHFL are carried on our books at 7 .25. Rup en tells me that it's 7 .37, so it's a little bit higher. So, as long as we are able to refinance at around those ranges, then the net impact on us will be marginal. So, that's on that point.

Thank you very much for very engaged questions this time, ladies and gentlemen. I know it's a busy day for results. Thank you all for joining us and have a very good evening.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Piramal Finance Limited, that concludes this conference. We t hank you for joining us and you may now disconnect your lines. Thank you. tk Piramal "V Finance

Call: May 2026

30th April 2026

BSE Limited
1st Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Fort,
Mumbai - 400 001
BSE Scrip Code: 544597

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G -Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai – 400 051
NSE Symbol: PIRAMALFIN

Sub.: Transcript of conference call on the Audited Financial Results (Standalone & Consolidated) for the quarter and financial year ended 31st March 2026

Dear Sir / Madam,

In continuation of our letter dated 20th April 2026 and pursuant to Regulation 30(6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on 27th April 2026, on the Audited Financial Results (Standalone & Consolidated) of the Company for the quarter and financial year ended 31st March 2026.

The transcript of the said conference call is also hosted on the website of the Company
Concall_Transcript_Q4FY26_Piramal Finance Limited_27th April 2026

Kindly take the same on record.

Thanking you.

Yours faithfully,
For Piramal Finance Limited
(Formerly known as Piramal Capital & Housing Finance Limited)

Bipin Singh
Company Secretary

Encl.: As above.

Page 1 of 16

"Piramal Finance Limited
Q4 and Annual FY 2026 Earnings Conference Call "
April 27 , 202 6

MANAGEMENT :

MR. ANAND PIRAMAL – EXECUTIVE CHAIRMAN

MR. JAIRAM SRIDHARAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. RUPEN JHAVERI – GROUP PRESIDENT

MR. YESH NADKARNI – CHIEF EXECUTIVE OFFICER , WHOLESAL LENDING

MR. VIKASH SINGHLA – CHIEF FINANCIAL OFFICER

MR. RAVI SINGH – HEAD, INVESTOR RELATIONS , STRATEGY AND SUSTAINABILITY

Piramal Finance Limited

April 27 , 202 6

Page 2 of 16

Moderator: Ladies and gentlemen, good day , and welcome to the Q4 and Annual FY 2026 Earnings Conference Call , hosted

by Piramal Finance Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operat or by pressing star then zero on your touch -tone phone.

The results materials are available on exchanges and the company's website, and you may refer to them during the discussion. Please note that today's discussion may include certain forward -looking statements, which must be viewed in conjunction with the ri sks and uncertainties that the company faces. These statements are based on management's current expectations and are subject to uncertainty and change.

On the call today, we have with us Mr. Anand Piramal, Executive Chairman; Mr. Jairam Sridharan, MD and CEO; Mr. Rupen Jhaveri, Group President; Mr. Yesh Nadkarni , CEO -Wholesale Lending; Mr. Vikash Singhla , CFO; and Mr. Ravi Singh, Head of I nvestor Relations and Strategy.

I now hand the conference over to Mr. Anand Piramal for his comments. Thank you , and over to you, sir.

Anand Piramal: Good afternoon , everyone , and thank you for joining us today on this call to discuss the March quarter and full

year FY26 results of Piramal Finance. As you all know, during the last few weeks of this quarter, geopolitical disruptions in the Gulf have created a volatile global mac roeconomic environment. Crude oil prices have risen sharply. There have been also concerns around the availability of refined products such as LPG. We believe ongoing diplomatic developments and a potential de -escala tion could limit the overall macro impact on India. At this stage, the effect on India's economy and financial services sector appears contained, reflecting underlying resilience. Retail petrol and diesel prices have largely remained stable. This pricing discipline has played a critical role in containing n ear-term inflation, preserving domestic demand, and avoiding a spike in retail loan pricing. The government's timely interventions to support exporters have helped cushion the impact from ongoing maritime challenges. Overall, while geopolitical risks remain a key monitorable, India's macroeconomic stability, policy responsiveness, and domestic dem and strength continue s to support the growth outlook.

Coming to our results, the company delivered a strong quarter and ended FY26 with several achievements. I am happy to report that we surpassed our targets we set for ourselves at the start of the year. Our total AUM grew 25% year -on-year and crossed the I NR1 lakh crores mark.

We have completed our AUM mix transition with the Legacy book down 59% year -on-year to INR2,807 crores versus the target of reducing it to INR3,000 crores to INR3,500 crores. The Legacy book is now less than 3% of the total AUM versus 66% of our AUM four years ago. This has been perhaps the largest and fastest rundown of any wholesale book in our industry.

Equally unprecedented has been the scale -up of our retail business. In FY26, it grew 33% year -on-year to INR85,885 crores. It now forms 85% of total AUM. Ours has been the fastest scale -up of any retail business among NBFCs. We took four years in going fro m INR20,000 crores to INR85,000 crores, something that other retail NBFCs before us took 5 to 10 years to do. More importantly, while growing this book, we have sharply lowered our opex ratios and have kept a tight control on risk.

In Q4 FY26, the retail asset quality significantly improved across all products. Along with our Wholesale 2.0

Piramal Finance Limited

April 27 , 202 6

Page 3 of 16

AUM, which grew 38% year -on-year, our Growth AUM increased by 33% year -on-year versus the 30% target.

Asset quality of Wholesale 2.0 continues to remain robust with zero NPAs in this book.

After breaking even in FY24, the Growth business has steadily been improving its profitability. In Q4, we exited at RoAUM of 2.1% versus 1.7% in Q4 FY25. For FY26, we have reported a consolidated net profit of INR1,506 crores versus the target of INR1,300 to INR1,500 crores. This was up 3x year-on-year.

In this quarter, both our domestic and foreign credit ratings witnessed a round of upgrades. Our domestic long -

term debt is now rated AA+ by all three leading credit agencies versus AA rating at the last quarter end. In Q4, we received deferred consideration on proceeds of \$148 million towards the sale of Piramal Imaging. We also concluded the stake sale of Shriram Life Insurance worth INR600 crores. We also added INR10,110 crores to our assessed tax losses, totaling total assessed tax losses to INR24,600 crores. Overall, in the last two years, we have been consistent in improving our profitability along with healthy AUM growth and stability of risk and earnings.

As an upper-layer AA+ rated retail-led diversified NBFC, we are privileged to serve over 5.7 million customers across semi-urban India, combining physical distribution with technology and AI in our processes. We remain confident in our ability to deliver steady and healthy earnings growth.

With that, I will hand over to Jairam to share more details of the results.

Jairam Sridharan : Thank you, Anand. Good evening, everyone. Earlier this year, you might recall that we introduced our framework

for value creation and long-term alignment with our shareholders. To refresh our memories, the framework had three drivers of value creation : growth, profitability, and predictability. And supporting these value drivers, we talked about building a future-proof AI-native company.

I'd like to start my comments with an evaluation of our Q4 FY26 performance against this framework. Let's start with growth, which you can see on Page number 4 of our investor presentation. You see here that our AUM was up 33% year-on-year in our Growth book. On a consol basis, AUM was up 25% year-on-year and we ended the year at INR1,01,230 crores. We thus stay very much on track for our stated goal of INR1,50,000 crores by FY28. The second vector was profitability, on which I would like to direct your attention to Slide 5. The return on AUM of our Growth business increased further, as Anand mentioned, to 2.1% in Q4 versus the 1.7% we were at in the same quarter last year. Leverage, which is AUM to equity, also continued to increase and we are now up at 3.6x in Q4 compared to 3x same quarter last year. We continue to progress towards our goal of 4.5 to 5x.

The third vector in our value creation framework was predictability, on which I would like to draw your attention to Slide number 6. In the fourth quarter, the Growth business delivered a PBT of INR495 crores, keeping up the steady and predictable trajectory of the last eight quarters.

The stability and predictability are also visible in our credit risk outcomes, with retail 90 plus delinquencies down 20 basis points quarter-on-quarter to 0.6%. Growth business credit cost was also down marginally quarter-on-quarter to 1.5%. More importantly, as you can see on the page, the performance was extremely steady over the last 4 years. Let's now get into our specific business performance metrics.

Our retail AUM growth remains strong. We ended the fourth quarter with a retail AUM growth of 33% year-on-year. Disbursements in retail recovered from a moderate Q3 and were up 34% year-on-year to INR13,101 crores.

Piramal Finance Limited

April 27, 2026

Page 4 of 16

Our mortgage business comprising housing loans and LAP grew by 32% year-on-year to INR57,837 crores. Mortgages account for 57% of the total AUM of the company and 67% of the retail AUM. If you look at Slide 24, we have provided

this quarter some additional disclosure on sub-segments within our HL and LAP businesses.

Over the years, we have expanded our presence in mass affluent home loans and larger ticket LAP plus products. With our rating upgrade, our ability to serve these segments is significantly higher.

Retail AUM growth was well-diversified across our product category, all growing at about 20% to 50% year-on-year. Wholesale 2.0 AUM was up 38% year-on-year in the fourth quarter, with both real estate and mid-market lending showing strong Y-o-Y trends. Growth AUM was collectively thus up 33% year-on-year to INR98,423 crores.

If you look at Slide 30, our retail customer franchise grew by 22% year-on-year to 5.7 million. As Anand referred earlier, we have crossed 5 million as our customer franchise this year. Our sourcing from cross-sell in unsecured disbursements is around 30%, which we expect to materially improve over coming years.

Our cross-sell portfolio comes with significantly lower opex as well as credit costs. During the third quarter call, we had guided towards opening 100 new branches in the fourth quarter across three formats. We have successfully delivered on that plan. After not expanding our branch network for seven quarters, we resumed branch expansion in Q4, for which I would like to refer you to Slide 28.

In this quarter, we opened 26 full-service branches, which we have now rechristened as urban branches. In addition to these, we have also opened 22 gold loan branches and added 60 rural branches, which we earlier called microfinance branches. We have now taken our rural network to 136 branches. In all, our total branch network has crossed 700 in this quarter and stands at 701.

As shown on Slides 25 and 27, we took meaningful steps forward in this quarter on gold loans and rural lending. Starting with Slide 25, we launched phase 1 of our gold loans business with 22 branches in Maharashtra and Telangana. As of today, 13 of these gold loan branches are disbursement active. We are innovating traditional gold loan product with unique tech and AI-based features.

We expect to open 180 more gold loan branches in FY 27 to take our gold loan branch count to approximately 200. We are spearheading our emerging rural strategy with micro loans as the first product through our 136 rural branches, which you see on Slide 27. Our micro loans AUM was up 42% year-on-year from a small base to INR1,384 crores.

Moving on to margins, our consolidated level NIM expanded 20 bps quarter -on-quarter to 6.5%, which you will see on Slide 15. You will also see on this slide that the consolidated NIM has been continuing to close the gap with our growth book NIM, which is 7%.

Cost of borrowing during the quarter declined by 11 basis points on a Q -o-Q basis to 8.84%. Along with actively working on our borrowing mix, the impact of credit rating upgrades should provide a tailwind to our cost of borrowing over the coming years. Domestic credit rating upgrade from AA to AA + has the potential to lower our cost of borrowing by 50 to 80 basis points once we churn our current borrowing stack out and replace it with new borrowings. The AA plus rating also offers us access to certain parts of the lending market we could not access before, thus enhancing our ability to continue delivering industry -leading AUM growth. It can also aid expansion of return on AUM and potentially also allows us to leverage our balance sheet higher versus what was possible with the AA rating. All of this could lift steady -state ROEs by 3% to 4% percentage points.

Piramal Finance Limited

April 27 , 2026

Page 5 of 16

On retail income, total retail income as seen on Slide 21 grew by 35 basis points quarter -on-quarter to 15.5% of loan book. Our yields on loans were stable. The retail processing fee amortization continues to catch up to support the overall fee income. There was, however, a reduction in our insur-

ance fee in this quarter due to a change in commercials with our partner Pramerica Life.

On opex, retail opex to AUM further came down by 21 basis points quarter -on-quarter to 3.6% per annum in quarter 4 . You will see this trend on Slide 21. We have now consistently reduced our opex to AUM ratio for 3 years and have now entered the target range which we had indicated some years earlier. While we have restarted our branch expansion, the continued productivity gains for our employees and branches have the potential to take our retail opex to AUM a little bit lower than current levels over FY 27.

Tech and AI have been key enablers of our growth and productivity enhancement. While we have been sharing in the past the impact of AI across five key business areas, we are now starting to share additional input metrics as well. I would like to draw your attention to Slide number 7 .

Here we have tried to share a metric for overall use of GenAI techniques at Piramal. You will see that there is a strong growth in our total token usage across SLMs and LLMs in the course of this year, showing the high levels of AI adoption in the company. In Q4, our total token volume was at 178 billion tokens in the quarter versus 63 billion in the first quarter of this year. This compares well with the best of global elite enterprise -scale companies in terms of token usage for high -frequency agentic AI and processing of massive amounts of document data.

On Slides 32 and 33, we have shared some more details of our enterprise AI strategy, Piramal. ai. On Slide 32, we introduce a new dashboard on the progress of AI, particularly GenAI use cases across all key aspects of our business. As you can see, AI adoption cuts across sales, underwriting, collection, audit and compliance, CX and people management.

The next page Slide 33, covers our fourth quarter AI spotlight. Last quarter, we had featured collections in our AI spotlight; this quarter we feature operations. You can see on this slide that operations productivity has doubled in the last 2 years. Our AUM has doubled in this period, whereas our operations staff and headcount has remained roughly flat.

Moving to risk, the risk performance of the company was solid, with GNPA down 32 basis points quarter -on-quarter and Growth business credit cost down slightly quarter -on-quarter to 1.5%. Retail is 87% of our Growth AUM and it witnessed significant improvement in Q4 risk across all products. Asset quality in unsecured lending showed strong improvement in the last 4 months. Risk metrics here are broadly back to 2-year-ago levels. The micro loan portfolio has almost completely normalized, as you see in our 90 DPD chart that we share every quarter.

In our semi -secured business, which is used cars, after three quarters of elevated risk metrics, we saw a steep fall in Q4. In mortgage business, risk continues to be quite steady. We had earlier flagged a part of this business as potentially problematic given increasing risk levels. This was around smaller ticket mortgages with MSME customers. Over this last quarter, however, we have seen this segment stabilize and perform noticeably better than before. We will, however, continue to track the segment closely.

So as you can see, headline risk metrics are all stable to improving in Q4. However, we are closely watching segments that could potentially be vulnerable to the ongoing conflict in the Middle East. We had originally taken MSMEs in the F&B sector as the epicenter of potential vulnerability and impact, but we have since expanded our

Piramal Finance Limited

April 27 , 2026

Page 6 of 16

watch list to include a broader set of sensitive sectors, including travel and logistics, textiles, gems and jewellery , food processing, etc etc. As of now, risk metrics here all appear contained. Bounce rates in these vulnerable sectors in April have come in at the same levels as March.

We used AI to rapidly scan and classify hundreds of industry sub-segments by their sensitivity to the Iran conflict, mapping direct impact first and progressively identifying knock-on effects across connected sectors. This use of AI turned what would have been weeks of manual analysis into near real-time exercise, allowing us to move quickly from portfolio diagnosis to targeted product-level action. We have thus tightened fresh underwriting in these sensitive sectors. We believe that customers from these sectors who also have moderate to high pre-existing leverage are likely to be the most vulnerable. That is the segment where we are taking most of our credit actions right now. Overall, we have not seen any visible impact of the conflict on retail risk metrics yet. We remain, however, watchful and ready to act as necessary.

On the liability side of potential impact of the conflict, we continue to maintain strong liquidity buffers. Our average quarterly LCR in Q4 was 450%. We have cash and cash equivalents of INR8,640 crores, equivalent to 8% of all our assets. CPs form less than 1% of our liability stack as of March end. This conservative position both minimizes our liquidity risk as well as maximizes the opportunity for us to benefit from falling rates at the short end.

Finally, let me come back to the overall company. Having met all our stated targets for FY26, which Anand referred to earlier, we have refreshed our targets for FY27, which we have listed on Slide number 17. We are sharing three pieces of goals and guidance for the coming year. We expect another year of approximately 25% growth in total AUM. We expect consol profits to also grow at approximately 50%, and we expect to exit FY27 with a return on AUM of approximately 2.5% versus the 2.1% we reported in Q4 FY26.

You will notice here that we have not called out a separation in language between consol and Growth. That's because given the relatively small size of the Legacy book, one should expect that somewhere along the course of this year, we would cease reporting Legacy as a separate segment. So you should expect that to happen sometime during the course of this year, though we are not calling out a specific date on that yet.

With that, I'll hand over the call to Yesh to discuss our wholesale business.

Yesh Nadkarni : Thanks Jairam. As at March 2026, the Wholesale 2.0 book stood at INR12,538 crores, which was a growth of

about 38% year-on-year. Real estate to CMML mix stood at 73:27. Average ticket size of the book was INR53 crores and the average yield of the portfolio was stable at 14.4%.

Asset quality remained robust with zero NPAs in this book as Anand mentioned earlier. During the year, we disbursed INR9,292 crores with fresh sanctions across 135 deals. Repayments continued to be robust as we received INR5,859 crores or about 63% equivalent of the disbursed amount during the year.

In the fourth quarter, the repayments were particularly strong, amounting to almost 82% of the new disbursements. While strong rates of repayments continue to be a major growth headwind for us, it also highlights that the portfolio seasons very well and is performing well ahead of our underwriting.

In fact, due to these significant repayments, almost 50% of the contractual repayments due to us in FY27 have already been paid by our borrowers to us to date. On our Legacy book, we ended the book at INR2,807 crores, which was a reduction of 59% during the year. This is now a very small part of our balance sheet and we will continue to work on resolution of this book over the following quarters.

Piramal Finance Limited

April 27, 2026

Page 7 of 16

Before handing over to Vikash, I will also say that we continue to monitor the impact of the Iran war on the real estate and CMML segments. Since the war broke out in Feb, to date our portfolio sales, collections, and other operating parameters have continued

to remain very strong. We also feel good about the granularity and diversified nature of our portfolio, but will continue to monitor our credits proactively as we progress from here.

With this, over to you Vikash.

Vikash Singla : Thank you, Yesh. Moving to our financial performance, in Q4 FY26, we reported consolidated net profit of INR502 crores versus Q4 FY25 net profit of INR102 crores. Full year FY26 net profit was INR1,506 crores versus INR485 crores in FY25. Proforma PBT for Growth business stood at INR495 crores in Q4 FY26, implying a growth of 61% year-on-year.

Growth business opex grew by 12% year-on-year versus income growth of 24% year-on-year. Operating profit thus grew by 37% year-on-year to INR850 crores. In Q4 FY26, we reported Growth business credit cost of 1.5% versus 1.6% in Q3. Our total GNPA and NNPA were down 30 bps quarter-on-quarter each to 2.3% and 1.6%, respectively.

Our net worth stands at INR28,191 crores. Our capital adequacy is very strong at 19.8% as on March 2026. Our profitability continues to improve and we also have investments that can potentially be divested to unlock capital. Just as we have done in the past, we remain committed to maintain a comfortable margin of safety over regulatory capital requirement. We will use all the available levers at our disposal to ensure that.

With these remarks, I would now like to open the floor for questions. Thank you.

Moderator: Thank you very much. We'll take our first question from the line of Shreya Shivani from Nomura. Please go ahead.

Shreya Shivani : Yeah, hi. Thank you for the opportunity.

Jairam Sridharan : Hi, Shreya.

Shreya Shivani: Hi. I have two questions. My first question is on the consol NIM and the Growth NIM. The gap between these

two has been narrowing, it's at about 50 bps as of fourth quarter, right? 6.5% and 7% or so. The Legacy book is now like very minimal. I'm assuming the Growth NIM is where the consol NIM will reach and then beyond that, what are the levers for expansion? I mean, I get your gold loan and MFI segment would be one of the major levers.

And my second question is on the Legacy book. I mean, that scale -down is quite impressive. Fair to say that majority of it is actually SRs and Stage 1. So how should we think about the Legacy book movement over the next 2 years? It's at about 3% or whatever, less than 3% of your AUM mix right now.

Jairam Sridharan: Yeah, thank you Shreya. So first question, where is the consol NIM headed? Obviously, consol NIM and Growth

NIM will become effectively the same, hopefully it was the latter half of this coming year as the Legacy book becomes smaller and smaller. And Growth NIM of course today is about 7%.

What are the levers on the Growth book NIM itself? There are two main levers. One is exactly what you said, which is product mix on the asset side, which is increase in unsecured, which we have guided before we would like unsecured to be about 400 basis points larger, 400 to 500 basis points larger in our mix compared to where Piramal Finance Limited

April 27, 2026

Page 8 of 16

we are right now, plus some of the new products that we are launching, particularly gold, which is secured, but has high yields.

So between the two of them, the mix story is going to be a little bit margin accretive. But even more importantly, on the liability side, the AA+ rating has not yet shown its effect on our cost of borrowing. And as I mentioned before, I expect the AA+ impact to be about 50 to 80 basis points over the course of the coming three years, because three years is the time of churn of our liability side book.

So that should come in as well. So those are the two big levers, one on the asset side and one on the liability side, which should help lift our NIMs on an overall consol basis once we've merged everything together.

Now, to your question on the Legacy book, we are at less than 3% of the por

tfolio here. If we are talking about

Legacy book next year at this time, we would be very, very surprised. It will become irrelevant by the latter half of this year, by Q4 of this year, it should become kind of so small to be irrelevant. And that's why our statement earlier that you will just see us talk about one set of numbers rather than X of Legacy numbers by the end of this year.

Shreya Shivani: Okay, that's great to hear. Just a follow-up on the scale -up of the unsecured book. So fair to say the unsecured

book scale -up would be equally across digital loans, which is aggregated loans. And your own sourced UBL book or one would take precedence over the other or you'd focus more on one?

Jairam Sridharan: It depends a little bit on risk performance, Shreya. Like as it happens, the last few quarters digital loans have

performed super well. If you see Page 22, you look at the risk performance of digital loans, which is on the bottom left, it's been insane good. So currently, we are somewhat bullish on that segment. But if it turns, if that curve starts to turn, we'll be equally ruthless in actually starting to cut that and go even more towards branch business.

If you see the salaried PL chart on the same page, you'll see it's been rock steady, right? It's been really, really strong. So we love both our branch-based businesses as well as our digital-based businesses. Which takes precedence, that's a month-on-month, quarter-on-quarter call depending on what the risk curves look like. So we don't have a philosophical bias on one versus the other.

Shreya Shivani: But it's easier to scale up digital loans faster than the branch-led salaried PL or UBL, right?

Jairam Sridharan: That is true, but it also tends to be more volatile. So in bad times, you also cut it much more ruthlessly. So you

might recall that when digital was going through its peak in FY25, we had cut it by more than 60%. So volumes also disappear there very, very quickly.

Moderator: Next question is from the line of Harshit Toshniwal from Premji Invest.

Harshit Toshniwal: Yeah, the question was two-pronged, sir. So one was on the other income - fee income for the Growth business

itself. So you mentioned the statement about some change in arrangement with the life insurance partner, but like if in general I look at that number as a percentage of our retail growth AUM, that's now I think 0.5 for 4Q.

And obviously there was some amortization impact which was also going on, if I'm not wrong. But where we should look at this number because given our asset mix, ideally an 80-90 basis points, 70-80 basis points is something which is not unreasonable?

Piramal Finance Limited

April 27, 2026

Page 9 of 16

Jairam Sridharan: Yes, your point is correct. What we have in Q4 is low. It needs to go up, it will go up. There was a one-time

event

that we had in Q4 where we reversed some fee income in aid of our associate company, which is our life insurance company, for some technical reasons. I'd not like to go into that here, but it's a one-time adjustment which we did to help them out.

And it is a company where we own 50%, so there is value accruing eventually happening to us, so we're not particularly worried about it. But your point on where that fee income should head is absolutely correct and you will see normal service being restored very quickly.

Harshit Toshniwal: Got it, And the second question was that right now we are standing at 2.1 % on the Growth AUM and this is with

1.5% credit cost. And probably if we plan to end FY27 with 2.5 %, then just trying to marry these two facts that our credit cost in general you said that should be 1.9% to 2% as a steady-state one, which is 40 basis points higher than today's number.

So, are we expecting FY 27 credit cost to remain benign because of probably, for whatever reasons, or do you think that it's the margin and the cost levers and

fee income levers etc etc which is helping you stick on to the

2.5% number? Because the 4Q, 2.1% is on the help of that 40 basis points lower than sustainable credit cost.

Jairam Sridharan: Right, that's a great question, Harshit. And the answer is pretty much the second half of what you said.

Yes,

you're right that we have been surprised positively by how good the risk environment has been. I thought risk environment through the year was good, Q4 turned out to be even better.

So yes, we are mildly positively surprised. But you will also notice a fact in our presentation, and if you look at some of the new disclosures we have started, which is the sub-segment level disclosures on mortgages etc., you will see that over this year, we have started doing a little bit of more prime-like business, right?

You will see more of that coming forward, which will help our overall risk performance. Let's see how much we are able to do it etc etc. But importantly, see, there are three things that can change or that will change in our DuPont.

Opex to assets, which will continue to get better, we believe there's another 50 basis points of play there. Cost of borrowing, which as I mentioned before has 50 to 80 basis points over a three-year period, right? So that should get better on a side interest rate cycle adjusted basis, right? And then there is this credit cost, which will probably go in the opposite direction, which you know if my earlier expectations are correct, it would probably kind of eat away some of the delta. But we believe there is enough play in the first two that we can hit 2.5 % by Q4 of the coming year, even if there is some normalization of credit cost.

Harshit Toshniwal: Great, sir. And last question, Jairam, was, so clearly Legacy book is frankly going to be very irrelevant right now.

But still if I look at probably the write-offs of INR1,500 -INR1,600 crores which we have used from our gains and another. So it's a INR3,000, INR 4,000 crores book.

Should we in our minds expect some recoveries? It's going to be a bounty itself, but at least on the current INR2,800 crores, because I'm not sure we barring Shriram Life we will not have much more capital gains left.

But in general, more from just the recovery point of view, other than recognition, should we hope for some benefit on that side?

And probably the last question just attached to this itself is on the capital adequacy. We are right now at around around 19.5. Now, you mentioned slightly in the opening remarks of some of the levers which can free us some Piramal Finance Limited

April 27, 2026

Page 10 of 16

capital, but if you can help us elaborate that till what time we don't need capital with this kind of a growth?

Jairam Sridharan: Yeah, great questions, Harshit. On your first one, which is, should we expect, I'm just paraphrasing you, should

we expect any sort of recoveries to come from all the provisions that we have made in the Legacy book? You're saying that hey, broadly we expect no further recognition issues and no further hits, so probably no kind of negatives to the P&L going forward, but are there any positives to be had?

The answer to that question is a qualified yes. We have been conservative in the way we have provided over the last few quarters because we had some opportunities and some one-off gains, we have used that. And it is reasonable to expect that as the unwind completes, between what we have on the book and a little bit of what we have off the books in the form of AIF etc etc., there are a few hundred crores, I will not specify an exact amount, I'll just say that there are a few hundred crores of potential kind of write-backs that you can expect.

But I'm not specifying a number nor a specific time period, but you should expect that. I think there is something there in what you said in terms of the way we have gone about providing over the last

few quarters. Your second

question was on capital. Again, a great question. We ended the year at 19.8%.

We have said in the past that while the regulatory requirement is 15%, if we get to the 17.5% to 18% kind of range, we will probably be looking at raising capital. In this quarter, if you see, our consumption has only been 50 basis points. Net consumption of capital has only been 50 basis points, which means we have some runway ahead of us even when we are at about 20.

So we have like maybe four quarters of runway, three to four quarters of runway depending on how you look at it and the kind of profitability we have in the coming year. We have some runway left. Let's see what we need to do. We have some other levers as well to take care of capital needs if any. You know, never say never on any of these things, but our current levels are healthy and consumption rates are still relatively modest, and so we should be able to get through a few quarters pretty easily.

Harshit Toshniwal: Got it, perfect. Great, thanks a lot, sir. Congratulations.

Jairam Sridharan: Thank you.

Moderator: Thank you. Next question is from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.

Avinash Singh: Yeah, hi. Good evening. Thanks for the opportunity. A couple of questions. The first one continuing on the capital

part. So if we were to see that, you know, the balance sheet leverage, it is still pretty much on the lower side. So from the net worth that is on the balance sheet, what all sort of adjustment on regulatory capital?

Because it seems a pretty big number. I mean, is it kind of the deferred tax asset, that up-fronted income? So, that's a pretty large number. So the balance sheet leverage is, I mean, asset to equity is not yet four times and the capital adequacy is relatively lower. So that's one, and particularly considering the fact that on the risk-weight side also you will have a mortgage side that will not be that risk, kind of a risk-weight intensive. So that's one. The second one is on this thing, the tax. Now given that, you know, the tax, accumulated tax losses are close to INR25,000 odd crores, what is the kind of a timeline by which you need to kind of consume it? So just to get an idea that okay, if that entire piece is going to provide you, you know, the tax relief. Thanks.

Piramal Finance Limited

April 27, 2026

Page 11 of 16

Jairam Sridharan: Yeah, thank you Avinash. Great questions. The first one, the deductions from capital. There are three main deductions from net worth to get to net owned funds. NOF is what goes into the numerator of CRAR calculations.

Net worth is what you see on the balance sheet, INR28,000 crores.

So what are the three deltas from here to NOF? The three deltas are: there is one lot which is regular business-as-usual deductions which you will see in any lending company, so things like if we have, you know, cash position if we have for securitization, some unamortized DSA fees etc. or DSA pay-outs etc etc etc., some of that stuff will be sitting there, that's one element.

The second element is DTA that has been created. We have about INR2,000-ish crores of DTA, INR2,700 crores of total DTA that's on the balance sheet, that's number two. And the third deduction is investments, right, which is all this Shriram, General and Fibe and some of these other things, all those investments.

Those three things roughly equally distributed, about INR2,500 crores to INR2,700 crores each, right, is the number in all three of them. That's the delta between what you see as net worth and what you will calculate as net owned funds. Right? Of these three, the first is pretty normal, business-as-usual, even in the end stage you should always expect to see that.

The second one, which is DTA, exists in our case because we have so much accumulated losses etc etc etc, so we get the benefit of that from a

PBT to PAT standpoint, but you have to pay for it a little bit in the form of capital.

So that's the second one. The third one, which is the investment, is the one that can go away as we keep divesting more and more of the assets, that part will go away.

So the gap that you see between net worth and NOF will narrow to that extent. It will narrow by about a third of what it is right now. So that's as far as capital is concerned.

Your second question was on tax. So, see, the total we have about INR24,500 or so of accumulated tax losses. We have created about INR2,100 crores of loss-related DTA, right, carry-forward loss-related DTA. That INR2,100 crores is roughly equivalent to, make it 4x, that's INR8,400 crores. So if you net off that, essentially you have INR16,000 crores, give or take. Roughly INR16,000 crores of future profits of the company are tax protected as far as P&L is concerned. That's the simplest I can actually frame this. So however long it takes for us to consume INR16,000 odd crores, as long as that period is less than seven years, till about 2032, then we can keep using it. So next INR16,000 crores is tax protected the biggest point is this.

Avinash Singh: Okay, clear. And just one again on this. So, in a normal course of business as now your profits start to go up, so

how will this carry-forward losses will move? It will keep creating DTA? I mean will this DTA goes on rising or kind of it will be offsetting? So how will the DTA be kind of typically assuming your 2.5% ROA trajectory?

Jairam Sridharan: Yeah, see, the way to kind of think about this is every quarter we will do an assessment of our virtual certainty

of profits, which you will discuss with our auditors every year roughly. We will discuss this with our auditors and based on their advice, we will create DTA as necessary to offset.

But from a P&L perspective, the way you will see it is that effectively your PBT and PAT will be pretty close to the same except for some line items which are taxable, like some dividend line items etc etc etc. or some other line items might be taxable, but mostly you should see PBT equal to PAT for the foreseeable future.

And hence for the next INR16,000 odd crores of PBT, from a modelling perspective, you can keep an effective tax rate in your model at a very low number, you know, unless something dramatically changes from here. That

this is all with the current level of carry -forward losses that we have.

Any future carry -forward losses that get created will add on to this. And ev ery time we get tax authorities approval on some carry -forward losses, they are valid from that point of time for eight years.

Avinash Singh: Got it, Thank you .

Jairam Sridharan: Thank you, Avinash.

Moderator: Thank you. Next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead.

Nischint Chawathe : Hey, thanks for taking my question. Maybe you touched upon this already, but you know, in terms of cost of

funding, you know, what is the difference between incremental and average cost of funds?

Jairam Sridharan: Yeah, so our stock cost of borrowing is about 8.8% in Q4. Our incremental borrowing cost for long -term money

was 8.4%. We didn't raise much short -term at all, so I don't know, my guess would be that short -term will be like 7.25% right now if we went to the market and started raising short money. So then you can take any mix between short -term money at 7.25% and long -term money at 8.40%. That should give you a little bit of a sense of where our Q1 will be. We are currently not raising anything short -term. We have only been doing long -term over the last four, five months.

Nischint Chawathe : And in terms of your bucket, you know, what could be , I mean, if I have to just take a normalized bucket, how

could that cost look like?

Jairam Sridharan:

So see, this is still probably at the higher end of the entire AA + range. If you look at the best -in AA +, they are probably 50 basis points better than this, maybe 60 basis points better than this on the long term.

Nischint Chawathe : Sure. So probably you touched upon this, but you know, now as your cost of funding comes down, you know,

how does that really sort of feed into your asset -side strategy? Do you see the loan book composition changing?

Jairam Sridharan: Yeah, so two things there. We will take some of the delta into P&L and we'll use some of the delta to drive growth. So effectively, we will build some new businesses which we could not do, you know, when we were a AA, and that will help us actually drive growth. And the rest we will essentially feed through to our DuPont and get closer to our 3% return on AUM goals that we have shared with you all.

So both of those will happen. You've seen some early signs of that. You saw some of our high -ticket LAP and some of our mass affluent housing disclosures this time. Those are more AA plus like businesses, right, which we've been in anticipation of what was to come. We've been building a little bit of that muscle and as you can see, we've made some decent progress and you could see a little bit more of that in the times to come as well. So we were a purely below -prime player in the past. Now you could see u s pivot and have a little bit of our portfolio which is a bit more prime -like.

Nischint Chawathe : Got it. And the second question is, you know, walking the inorganic route. Is there anything that you are sort of

planning? I won't say on the cards, but are you really thinking on those lines?

Jairam Sridharan: Yeah, so nothing has changed on this front. As we've said it in the last couple of calls, I'll repeat, like we are quite

interested in M&A. The Piramal house has had a DNA of doing mergers and acquisitions and growing inorganically.

We continue to be interested. However, if you look at the history of the Piramal house, you will also realize that we are value based acquirers. We have limited interest in buying kind of perfect assets at fully priced in value. You know, we'd rather find something which even if it's a little imperfect, but it is at a value pricing, we'd prefer that kind of a story.

The market has not been conducive for that kind of M&A in the last few quarters and last couple of years, but we remain interested. We remain interested in the spaces of microfinance, gold loans, MSME, any of these spaces, you know, we remain interested and we do look at a lot of deals, but nothing's imminent.

So let me just quickly repeat. We remain interested in the spaces of microfinance, MSME, gold, etcetera.

However, what we are looking for is an asset which is priced at value and not fully priced in. So, we are okay to look at slightly imperfect assets where we believe with infusion of management, we can actually make the assets work or take the assets to a better place. But it needs to be at value, which that strategy has not had much bite in the recent market because everything has been priced well, even assets in the MFI space.

So, which is not our style of M&A. So, we are still in the wait and watch mode, but we are looking at all transactions, but nothing is imminent.

Nischint Chawathe : And anything just on the promoter side, is there any sort of a kind of a holding thought process or threshold or something in mind?

Jairam Sridharan: The promoters have always held kind 45% odd. The promoter holding currently is 46%. We are perfectly happy

with that situation and promoters remain fully committed to supporting the company in whichever way it needs to proceed. So no, there's nothing very specific to talk about there.

Nischint Chawathe : No, I was just referring to any dilution that could happen because of a potenti

al M&A ?

Jairam Sridharan: Yeah, but none of the M&As that would come our way in the segments that I mentioned are large enough to

really merit anything like a percent here or there, man. Like it's not going to move things too much. We are not looking at transformational M&A right now. We don't need one.

Nischint Chawathe : Got it, Thank you very much and all the best.

Jairam Sridharan: Thank you, Nischint .

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and one on your phone. Next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yeah, good evening. Am I audible?

Jairam Sridharan: Yes, Abhijit.

Abhijit Tibrewal: Yeah, hi sir. So just two things. One is on slide 17, we have articulated a target which says that ROAUM for exit

quarter Q4, we want to take it up from 2.1% to 2.5%. So just trying to understand the levers here. So, I mean, the question here is that as we speak, we have said in the past that we are working on improving the yields, whether that comes through a change in product mix or even existing products in mortgages where we are trying to increase the yields.

And at the same time, this credit rating upgrade will give us some benefit on the cost of borrowing side. I recall

Piramal Finance Limited

April 27 , 202 6

Page 14 of 16

you saying in your opening remarks anywhere around 50 to 80 basis points. In addition to that, opex is something which has been kind of coming down through a lot of concerted efforts. I recall you pointing that we'll now be adding more branches. In this presentation also you have shared that we've forayed into gold lending now and plans to add more gold lending branches.

So fair to suggest that large part of this ROAUM expansion that we're talking about will come from the margin side because your opex, I don't know how to think about it, might remain elevated given that you're already in that band, the guidance that you had put out even after lowering that band in your AI investor day. And credit costs, I mean, given how the environment is, I think 1.5% may be well -primed now, right, in terms of credit cost. So how should we think about the various levers here?

Jairam Sridharan: Abhijit, listen, so there you're pointing to all the three things, they are exactly the right things. You know, but I

do think there is more play in opex to assets. I believe that we have another kind of, you know, 50 odd basis points that we can still do.

This is probably the last year or so that we can do this kind of opex narrative, but I think the opex narrative is not over. So, we will continue to see that. So, hold on to that, that will still be a meaningful part of the delta. The second big favourable delta of course is the NIM story, which as you rightly say is all going to be driven on the cost of borrowing side, from the liability side rather than on the asset side.

On the asset side, yes, we will have a little bit more of unsecured and a little bit of gold, both of which is yield accretive, but we also have a little bit of this prime thing that we will start to do. On the whole, yield should go up, but even more so, the margin will grow up a bit more than where we are as our cost of borrowing adjusts to the AA+ reality, which we have not yet started.

We have not borrowed even a single bond issue we've not done in the market ever since we became AA+ because the markets have not been conducive. So, over the next few years, you'll see us go there. So, you should expect to see the cost of borrowing and cost of opex are the two big areas of favourability and that's what will drive all the delta. On the credit cost side, even if there is a little bit of negative, i.e. 1.5% goes up a little bit from here, we'll still be able to absorb that through the first two that I mentioned and hence we feel comfortable guiding towards 2.5% for exit qu

arter.

Abhijit Tibrewal: Got it. Thank you. And the last question I had was maybe just trying to clarify further while you've already spoken or answered a couple of participants in this call. This unsecured segment, basically unsecured business loans and PL, I find it a little difficult to understand that how is it that despite disruptions in various supply chains, I mean, you as well as other lenders who've reported until now have not seen any alarming impact of that.

So, I mean, should we then conclude that maybe some second order, third order effects of whatever disruption that we have seen from the West Asia war might come in the coming months, or do you think that customers and

particularly self-employed and business customers are resilient and they have managed these disruptions very well?

Jairam Sridharan: The thing is, Abhijit, if the war continues for a while longer, it is inconceivable that you will see no effect. This

cannot happen, the effect will definitely be there. But I think that is Q2 event. I don't think there was no chance of seeing it in Q4, I don't think you'll see it in Q1 either.

But in Q2 you should watch, because every client does have a little bit of a buffer, a little bit of a margin of safety. They can go on for a month or two, right, even after they start feeling effects of business slowdown, they will go

Piramal Finance Limited

April 27, 2026

Page 15 of 16

on for a month or two. After that, they will slowly become tardy in their repayments.

And then it takes them three months for them to actually flow into 90-day bucket. So, this all will take time. So, watching a 90 day delinquency metric, it is not going to move anytime soon. My guess is July-August is when you can actually see that outcome, if at all. And that's why bounce rates are important to watch.

That's why if you heard our earlier commentary, we said that in April, the bounce rates of the segment are the same as in March. Surprising but true. Let's we will keep watching it. Like we don't know and we shouldn't guess where, you know, this thing might hit. It is not our job to reason out why something is happening or not happening. It is our job to watch it like a hawk and react the moment we see something happening. So far, nothing much to report.

Abhijit Tibrewal: Yeah, this is useful. Thank you so much, Jairam sir. Wish you and your team the very best.

Jairam Sridharan: Thank you, Abhijit.

Moderator: Thank you. We'll take our last question from the line of Vikram Damani from Damani Family Office. Please go ahead.

Vikram Damani: Hi, am I audible?

Jairam Sridharan: Yes, Vikram, you are.

Vikram Damani: Hi, congratulations on a good set of numbers. I had two questions. First is, could you explain the INR900 crores,

the two line items on the PL, the net loss on fair value changes at almost INR1,000 crores and the INR590 crores impairment that you've taken? And the second one was around your branch expansion. You've sort of gone from 570 to 700, now you're going to 880 as per your presentation. So, given that, any sort of change can we expect in the opex to AUM because new branches will take time to bring up to vintage? You've so far done very well. So, on these two things? Thank you.

Jairam Sridharan: Yeah, no, thanks for saying that, Vikram. See, on the first one, you point to two items which are write down, markdowns we took in this quarter to make good use of the one-time gains that we got. You might recall that there are two important one-time gains that we received in this quarter.

One was the deferred component of the Piramal Imaging sale and that was about INR1,300 crores or thereabouts. And there was a INR300 odd crores, INR250 odd crores gain on the sale of the Shriram Life Insurance business, right? So, we had that INR1,500 crores, we wanted to not take it through to P&L or we wanted to kind of strengthen the balance sheet appropriately now that we got that bounty.

What the line items you're referring to are our ways of strengthening the balance sheet i.e. identifying either areas where potentially in the future some losses could come and to pre-empt that and actually take, you know, roll that to now and then take the hits now itself, or areas where in being sort of prudent, it is appropriate to just put something away even though there might be a chance that some of it might come back to you in the future.

I don't want to go into it in any more detail than that, but suffice to say that this has helped us clean up the old Legacy book quite nicely and also created, you know, some pockets of conservatism in the balance sheet which can help us in a rainy day in the future.

Piramal Finance Limited

April 27, 2026

Page 16 of 16

Vikram Damani: So, can I assume that you've just broadly increased your buffer, more to do with the Legacy?

Jairam Sridharan: I think it's a fair way to talk about it. Or the way I'd say this is that the increase in our safety buffer is probably a

third of the entire thing. The other two-thirds is probably stuff that would have come to us anyway but maybe over the next two years.

Vikram Damani: Okay, good to know. Thank you.

Jairam Sridharan: Oh, there was a second question on opex to assets and whether opex to assets is likely to increase because we're

investing new in branches. The answer for next year is no. We have come up with our branch plan in such a way that our opex to assets will continue to fall. And let me restate something I've said I think in a previous call, that if it comes to choosing between a declining opex to assets ratio and putting up new branches, in this year our bias

will still be towards the opex to assets curve. We want the opex to assets curve to come down for one more year. After that, we might be more comfortable for it to be stable, but we want it to come down for one more year. So, I don't think it'll come to making that hard choice, but if it does come to making that hard choice, we will choose in favor of the opex curve rather than in favor of branch opening. Let me also add that the areas where we are adding branches are gold and rural lending. A gold branch takes about one-third of the operating expense of a regular urban branch on an annualized basis, about one-third.

A rural branch takes about one-tenth the level of investment of an urban branch. So these two categories where we are growing branches, they are actually much cheaper branches than what we regularly do in our full-service branches.

So, we should be okay, but if my math is wrong and if we end up seeing that opex curve start to move up, you will probably see us give up on the branch growth but not give up on the opex curve.

Vikram Damani: Very useful. Thank you so much.

Jairam Sridharan: Thank you.

Moderator: Thank you. I now hand the conference over to Mr. Jairam Sridharan for closing comments. Thank you and over to you, sir.

Jairam Sridharan : Thank you very much, everybody have a great evening. Thanks for participating actively in our call. We look

forward to hearing any more from you. If you have more questions, please do reach out to Ravi and the IR team and they'll be able to share more data with you. Thanks, and have a great evening.

Moderator: Thank you , members of the management. On behalf of Piramal Finance Limited , that concludes this conference. We thank you all for joining us today, and you may now disconnect your lines.

Call: Jul 2026

22nd July 2026

BSE Limited
1st Floor, New Trading Wing,
Rotunda Building, P.J. Towers,
Dalal Street, Fort,
Mumbai - 400 001
BSE Scrip Code: 544597

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C/1, G -Block,
Bandra - Kurla Complex, Bandra (East),
Mumbai - 400 051
NSE Symbol: PIRAMALFIN

Sub.: Transcript of conference call on the Unaudited Financial Results (Standalone & Consolidated) for the quarter ended 30th June 2026

Dear Sir / Madam,

In continuation of our letter dated 10th July 2026 and pursuant to Regulation 30(6) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on 16th July 2026, on the Unaudited Financial Results (Standalone & Consolidated) of the Company for the quarter ended 30th June 2026.

The transcript of the said conference call is also hosted on the website of the Company [Concall_Transcript_Q1FY27_Piramal Finance Limited_16th July 2026](#).

Kindly take the same on record.

Thanking you.

Yours faithfully,
For Piramal Finance Limited
(Formerly known as Piramal Capital & Housing Finance Limited)

Bipin Singh
Company Secretary

Encl.: As above.

"Piramal Finance Limited
Q1 FY2027 Earnings Conference Call"
July 16, 2026

MANAGEMENT :

MR. ANAND PIRAMAL – CHAIRMAN

MR. JAIRAM SRIDHARAN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. RUPEN JHAVERI – GROUP PRESIDENT

MR. YESH NADKARNI – CHIEF EXECUTIVE OFFICER , WHOLESALE LENDING

MR. VIKASH SINGHLA – CHIEF FINANCIAL OFFICER

MR. RAVI SINGH – HEAD, INVESTOR RELATIONS , STRATEGY AND SUSTAINABILITY

16 Jul 2026

Page 2 of 23

Mod erator: Ladies and gentlemen, good day and welcome to the Q1 FY 2027 earnings conference call hosted by Piramal Finance Limited. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

The result materials are available on exchanges and the company's website, and you may refer to them during the discussion. Please note that today's discussion may include certain forward -looking statements which must be viewed in conjunction with the risks and uncertainties that the company faces.

These statements are based on management's current expectations and are subject to uncertainty and changes.

On the call today, we have with us Mr. Anand Piramal, Chairman, Mr. Jairam Sridharan, MD and CEO, Mr. Rupen Jhaveri, Group President, Mr. Yesh Nadkarni, CEO, Wholesale Lending, Mr. Vikash Singhla, CFO, and Mr. Ravi Singh, Head , Investor Relations and Strategy.

I now hand the conference over to Mr. Anand Piramal for his opening comments. Thank you and over to you, sir.

Anand Piramal : Good afternoon, everyone, and thank you for joining us today on this call to discuss the June quarter FY27 results of Piramal Finance. The company delivered another quarter of consistent performance on AUM growth, profitability, and stability of risk and earnings. Our Growth AUM, which include all our retail and wholesale AUMs, but exclude the discontinued legacy business, now stands at 98% of the total AUM.

For the last many quarters, these AUM have been growing at a growth rates in the 30s. In Q1 as well, growth AUM increased by 32% year -on-year. Total AUM grew by 25% year -on-year to Rs. one lakh seven thousand crores. Q1 FY27 ROAUM of growth business was at 1.9% versus 1.5% ROAUM in Q1 of FY26. For several quarters now, Growth business profits have driven our company profits. In Q1 FY27, our PAT was up 67% year -on-year to Rs. 461 crores with underlying Growth business PBT of Rs. 470 crores.

Asset quality was stable and healthy across both our retail and wholesale businesses, and we'll share more details later on this call. Along with Q1 results, the board also approved a fund -raise of up to Rs. 4,000 crores, which the company would plan to raise at an appropriate time post shareholder approval. Two Japanese credit agencies, R&I and JCR,

16 Jul 2026

Page 3 of 23

have recently assigned us ratings of BBB / Stable . This is one notch below the sovereign rating.

As the youngest NBFC by some margin among India's upper layer NBFCs, we are privileged to be already serving about 6 million customers across semi -urban India, combining physical distribution with technology and AI in our processes.

With an AA+ rating and demonstrated retail -led diversified business model at scale, we are confident in our ability to deliver steady and healthy earnings growth. With that, I'll hand over to Jairam to share more details on the results.

Jairam Sridharan : Thank you, Anand. Good evening, everyone.

As you may know, we have aimed to deliver and we judge our performance against a framework of three drivers of value creation: Growth , Profitability , and Predictability . Supporting these value drivers, we have talked about building a future proof AI native company. I'd like to start my comments with an evaluation of our first quarter FY27 performance against this framework.

Let's start with Growth . If you look at slide number four, you will see that our AUM was up 25% year -on-year to 1,06,940 crores. The underlying growth in our continuing businesses, the Growth business that Anand mentioned before, was 32% year -on-year. With AUM growth sustaining at these levels for the past several quarters, we stay on tra

ck for our
earlier disclosed growth aspirations.

The second vector of our evaluation is Profitability . If you look at slide number five, you will notice that the return on AUM of our Growth business has increased in the first quarter to 1.9% from 1.5% in the same quarter last year. This 33-basis point improvement year -on-year was driven by a 57-basis point improvement in our OPEX ratio. Leverage, i.e., AUM to equity, also continues to increase as you can see on this page, and it is at 3.7x at the end of Q1. This compares to 3.2x in the same quarter last year, and we continue to progress towards our goal of 4 .5 to 5x.

The third vector in our value creation framework is Predictability . If you look at slide number six, in the first quarter, we delivered PAT of Rs 461 crores, keeping up the steady and predictable trajectory of the last 8 to 10 quarters. The stability and predictability are also visible in our credit risk outcomes with retail 90 plus delinquencies at 0.7%, stable in a very narrow range of 0.6 to 0.8% over the last four plus years. In the wholesale business, our

16 Jul 2026

Page 4 of 23

stage two and stage three assets are below 0.2%, and thus the overall Growth business credit cost has also been broadly stable at 1.6% per annum.

Let's now go one level deeper into assessing our business performance, starting with growth. Retail AUM growth remained strong. Financial year 27 started with a strong pickup in our disbursement trajectory. Disbursements grew 44% year -on-year in the first quarter versus 34% in the fourth quarter 26 and 31% in full year FY 26. Retail AUM grew by 32% year -on-year to Rs. 91,249 crores.

Our mortgage business, comprising housing loans and LAP, grew by 30% year -on-year to Rs . 61,199 crores. Mortgages account for 57% of the company's AUM and 67% of retail's AUM. Within our HL and LAP books, mass affluent home loans and larger ticket LAP Plus businesses have been growing in recent quarters at a faster rate. With our recent rating upgrade, our ability to serve these segments is significantly higher and you hence you should expect this recent momentum to continue.

With risk performance under control, AUM growth in our four unsecured product categories, personal loans, unsecured business loans, digital loans, and rural micro lending have all gained momentum. This category had an AUM growth of 45% year -on-year to Rs. 21,412 crores. These form 20% of the company's AUM and 23% of retail AUM.

Wholesale AUM was up 27% year -on-year to Rs. 13,238 crores. The mix between real estate and mid -market lending in our wholesale book stands at 70 -30 at the end of this quarter.

If you flip to slide 25, you will see that our retail customer franchise grew by 24% year -on-year to 6 million. Our sourcing from cross -sell in unsecured disbursements was at 28%, which we expect to materially improve over the coming years. Our cross -sell portfolio comes with significantly lower OPEX and credit costs.

In the first quarter, we saw a net addition of 79 branches to our network to end the quarter at 780 branches. You will notice that our branch expansion has been focused on gold loans and micro lending, while we consolidated some of our full -service urban b ranches during the quarter. From our first 22 branches opened in Q4, our gold loans network expanded to 67 branches at the end of Q1. We have now started launching the phase two of our gold loans network, and we aim to take this business to 200 branches by the end of March 2027.

16 Jul 2026

Page 5 of 23

On the rural side, our branch network expanded to 178 branches versus 136 in the previous quarter. In Q1, we closed eight full -service branches to end the first quarter at 535 urban branches overall.

Moving on to margins, our net income margin was flat quarter on quarter at 6.5% as you can see on slide 44. You will now see more and more convergence between consol. NIM

and the Growth book NIM, which stands at 6.8%.

Cost of borrowing during the quarter declined marginally by four basis points quarter on quarter to 8.80%. Even as the wholesale funding markets were a bit dislocated in the first quarter, ample liquidity on our balance sheet and minimal CP exposure cushioned the impact of dislocated markets on our liability strategy. The benefit of our domestic credit rating upgrade from AA to AA+ should provide further tailwinds to our cost of borrowing over the coming years.

On the income side, if you look at slide number 16, you will see that the total retail income to loans was down 26 basis points year-on-year to 14.7%. This is in spite of the fact that yield on loans was quite stable in the 13.2 to 13.4% range. The reason for that reduction in the total income line on a YOY basis was a considered strategic choice in this quarter that we took to perform fewer direct assignment transactions. This resulted in a lower other income line during the quarter.

Moving on to OPEX, the retail OPEX to AUM came down further by 10 basis points quarter on quarter to 3.5% in Q1. You will see this on slide number 16. We have now consistently reduced our OPEX to AUM ratio for three and a half years. While we are now in the target range of retail OPEX to AUM, the ratio continues to move downwards. The continued productivity gains for our employees and branches, we believe, have the potential to take our retail OPEX to AUM further lower through the course of FY27.

Our company's cost to income ratio was at 53% in the first quarter of FY27. This is down from 66% in the first quarter FY26 and 72% in the first quarter FY25, thus showing continuous and strong improvements in operating efficiency in the business as we get to scale.

Tech and AI have also been key enablers of both our growth and our productivity enhancement. We have shared a number of AI-related metrics which we have been sharing with you in the past and which you can see again in the presentation on slides number 7, 16 Jul 2026

Page 6 of 23

27, and 28. The strong growth in our AI token usage, which represents in a very crude way the total use of generative AI strategies in the company, continued in the first quarter as well, with token volume usage of 320 billion tokens in the first quarter. This compares to 178 billion in the fourth quarter and 63 billion in the first quarter last year. In some ways, this compares with the best of the global elite enterprise-scale token usages for high-frequency agentic AI and for processing of massive document data through generative AI engines. Despite the exploding token usage, we have been able to keep our token costs flat, with shifting the mix more in favour of homegrown SLMs versus purchased LLMs and also towards strong open-source models.

Slides number 27 and 28 show more detail on our enterprise AI strategy, Piramal.ai. On number 27, for example, our dashboard shows progress of AI use cases across key aspects of our business, such as sales, underwriting, collections, audit and compliance, customer experience, and people management.

In a new announcement that I want to make today for the investor and analyst community, today we are also launching our AI powered investor assistant named Pia. Pia is now live on the investor relations page of our company website. Pia is an AI agent trained on our quarterly results presentation, our Excel data pack, and all prior earnings concall transcripts. Of course, this particular concall is not yet in the training data set of Pia, but should be there by tomorrow. Like any human analyst, Pia can handle both data queries and qualitative questions, such as those related to management commentary, etc. We have been doing a little bit of a beta test of Pia over the last few weeks and initial feedback on response accuracy has been positive and encouraging. We will keep adding more data set

s for Pia to

expand her coverage to an even wider range of queries. We believe that Pia is the first of a kind tool being offered to an external audience by a company. It is a powerful example of the utility of AI when used in a context specific manner.

On slide 28, which is called Credit .ai, we cover and put an AI spotlight for this quarter on the massive progress our credit team has made on artificial intelligence. You will notice that credit underwriting in the AI world is much more scientific and nuanced than before. You will also notice that in a world of much more complex bank statements post UPI, etc., productivity of our credit staff has increased 50% in the last two years. In earlier quarters, we had similarly featured collections and operations in our AI spotlight.

Moving finally to credit risk. The big news on retail risk was that at an overall portfolio level, we did not see the seasonal deterioration in retail metrics that we often see in Q1. Risk

16 Jul 2026

Page 7 of 23

largely stayed flat to Q4 levels. In secured lending, risk saw a mild uptick in mortgages, going back to Q3 levels and stable over the prior quarters. However, this was offset by continued strength and improvement in unsecured credit risk. Risk in unsecured is now at the best levels we have seen in the last two plus years. Car loans risk was similar to Q4 and much lower than the Q1 to Q3 period last year. On rural lending, micro loans continue to show dramatic improvement in risk and ratios are now back to all-time best levels.

The West Asia conflict has had so far no visible impact on our portfolio. Vulnerable segments continue to have bounce rates similar to or even better than prior levels. With the impact of AI looming and some job cut announcements in recent times, the IT sector is one we are watching very closely. We are seeing some signs of increasing stress in this segment in recent months. Surprisingly, the stress is a bit more visible in secured products at present. Unsecured products seem to be still relatively flat on risk from this sector. We will keep tracking this closely and share with you if there is anything worth sharing.

Finally, coming back at the overall company level, Anand mentioned earlier about Piramal Finance being the youngest company among India's upper layer NBFCs. Our lending operations started about 12 to 13 years ago, and the retail phase shift began just about five years ago after the acquisition of Dewan housing. That youthful energy along with our large scale, diversified business mix, budget customer focus in Bharat markets and our balance sheet strength, we believe is a unique combination in our industry. That also sets the context of our journey and the opportunity of profitability expansion in the coming years.

With the strong start we have made in Q1, we are confident of meeting our original guidance that we provided last quarter for FY27 on AUM growth, profit growth, and return on AUM by the end of the year. With this, I hand over the call to Yesh to discuss our wholesale business. Yesh?

Yesh Nadkarni : Thank you, Jairam. As at June 2026, the wholesale book stood at Rs. 13,238 crore, which was a growth of 27% year-on-year. Real estate to CMML mixed stood at 70-30. Average ticket size of the book was Rs. 56 crore, average yield of the portfolio was 14.2%, which has moderated marginally due to a favourable shift in rating mix, particularly in the CMML book. During the first quarter, we disbursed Rs. 2,604 crore across 73 separate transactions, including 38 new transactions and 35 transactions which were sanctioned in the in the past but were partly disbursed during this quarter.

Repayments continued to be elevated as we received Rs. 1,932 crore or 74% of the disbursed amounts during the first quarter. Due to high rate of prepayments to date, about

16 Jul 2026

Page 8 of 23

61% of contractual repayments due to us in FY

27 have already been paid by our borrowers to us as of today.

The strong prepayment trend continues as we have seen over the past few quarters as well, and is providing to be a major growth headwind for our wholesale business, but it also highlights robust portfolio performance. Separately, our legacy AUM decreased by Rs. 355 crore, leading to an AUM of Rs. 2,452 crore of that book, which is now just 2% of total AUM. With that, I'll hand over to Vikash.

Vikash Singhla : Thank you, Yesh. Moving to our financial performance. In Q1 FY27, we reported consolidated net profit of Rs. 461 crore, which is up 67% year-on-year versus Rs. 276 crore in Q1 FY26. Pro forma PBT for Growth business stood at Rs. 470 crore in Q1 FY27 versus Rs. 294 crore in Q1 FY26.

AUM grew by 25% year-on-year to Rs. 1,06,940 crore. Our NIM was at 6.5%, which is up 47 bps year-on-year and flat quarter-on-quarter. Growth business NIM was at 6.8% versus 6.9% in Q1 FY26 and full year FY26.

In Q1, we choose to reduce our DA sell-down and that mostly explained this slight moderation of NIM. Total income thus grew 37% year-on-year to Rs. 1,693 crore. Operating expenses growth was contained at 10% year-on-year. Our pre-provisioning operating profit grew by 89% year-on-year to Rs. 804 crore.

Growth business credit cost was at 1.6% versus 1.5% in Q4 FY26. In Q1, there was additional provisioning in legacy book because of higher stage 2 PCR and hence the company's overall credit cost was at 1.8%. Our total GNPA and NNPA were at 2.4% and 1.6%, respectively. Our net-worth stands at Rs. 28,906 crore with capital adequacy at 18.85% as on June end

2026. With these remarks, I would now like to open the floor for questions. Thank you.
Moderator :

Shreya Shivani :

Thank you very much. We will now begin with the question -and-answer session. Your first question comes from the line of Shreya Shivani from Nomura. Please go ahead.

Thank you for the opportunity. Congratulations on a good quarter. I have two questions. First is a very interesting comment that you made about the salaried customer segment, and I had thought that the strong disbursement in salaried personal loan means that at probably we have bigger comfort over there.

So some more clarity around if you feel salaried customers are seeing more stress than the unsecured book, then us scaling up in the salaried PL that rapidly, some comments about that. Second is on the digital loan book. So the asset quality movement there is quite comfortable, but I just wanted to understand that we scaled up once back and then we

16 Jul 2026

Page 9 of 23

Jairam Sridharan :

slowed down when we saw the stress, and now we are again scaling up and we are at an all-time high in terms of AUM disbursement, etcetera .

So is there a different kind strategy this time, maybe the ticket sizes, customer segments, any update that you can give on that front? Yes, thank you.

Thank you, Shreya. Good questions both. On your first one, my discomfort is not with salaried segment overall. It's a little bit pointed towards IT sector salaried customers, particularly in South markets. So some of the statistics I was telling you before about seeing some increased stress, particularly in the secured segments is all related to the IT sector customers in Southern India. The rest of the salaried segment is actually performing quite well.

So our comfort level with respect to PL risk, etcetera is extremely high right now. I have no problems kind of growing that sector. The area with sub -segment within that which I'm watching is the IT sector, which forms about 13% of our salaried base in unsecured, right? So that's the part that I'm actually a bit anxious about given everything that's going on in the tech sector and the impact of AI and layoffs, etcetera., etcetera.

But even there, so f

ar unsecured seems to be behaving well. It's the secured segment, which is a bit surprising, but it's the secured segment where that population seems to be having slightly higher bounce rates, which is the point that I flagged for your attention. The second part that you asked on the partnerships business or the EF business is an absolutely valid point.

There is a significant increase in recent quarters in terms of volumes in the partnerships business. This is going to be a bit cyclical, Shreya. This is not a business which is a very stable business. It depends a little bit on what the environment is in terms of level of activity of Fintechs. Remember that 80% plus of this business that we do is under the FLDG framework, so essentially the credit risk impact on our portfolio is minimal.

The business here depends on level of activity in the Fintech sector. After multiple quarters of being kind of down in the dumps, in the last two quarters, Fintech activity is really picked back up. And that is what you're seeing reflected because our economics have been actually quite attractive in this business, we've been happy to do more business on this.

16 Jul 2026
Page 10 of 23

Shreya Shivani :

Jairam Sridharan :

Shreya Shivani :

Moderator :

Abhijit Tibrewal :

However, if the situation shifts, if the risk curve, for example, as you rightly mentioned, risk in digital today is about the lowest it has ever been, but if it ticks back up, I have no problem cutting it back down, right, cutting the volumes back down. So this is a business which is going to be a lot more kind of a lot more agile in terms of total volumes based on the risk performance. As it happens, right now it's at historically good risk and hence we are doing historically high volumes.

Right, that's useful. Just a follow-up on your mortgage book. I'm assuming the elevated cost of fund you would have passed something on to those customers given the home loan would be floating rate, etcetera. Has that panned out for your book in this quarter or maybe if you plan to do it in the coming quarters given that the cost of fund is something which can be under pressure for quite many quarters?

Yes, but nothing has happened to our cost of borrowing yet. Like our cost of funds has actually been if anything down. And in this down part of the cycle, which has lasted over the last year and a half, we have actually not reduced our prime lending rate in this entire down part of the cycle.

So we have to keep that in mind as we enter the up part of the cycle now. We want to be fair to the customers and want to reduce the kind of the rate volatility to the customer. So in general, yes, in floating rate products, customers will see up and down of their rates, but the amplitude of the cycles will be lower both on the way up and on the way down. Okay, that's fair. Yes, those were my questions. Thank you and all the best.

Thank you. The next question comes from Abhijit Tibrewal with Motilal Oswal. Please go ahead.

Good evening and thank you for taking my question. Jairam, so this thing that you mentioned that IT sector forms 13% of the salaried base in unsecured loans. So I mean, are we doing anything there because like you said, it's very counter-intuitive. In the past, we've seen stress spill over from unsecured to secured. This time, we've seen higher bounce rates in secured. So are we doing anything to ensure that at least these customers who are bouncing today, and like you mentioned, particularly IT sector salaried customers in the Southern markets, and I'm guessing some of it could also be cross-sell to the same customers here. So, are we doing something to ensure that things are taken care of?

16 Jul 2026
Page 11 of 23

That is the first question I have. The other question is we're starting the year at RoAUM of 1.8% and th

en you've guided for this RoAUM to move to 2.5% by exit Q4. So, if you could just elaborate what are the levers which will be there?

And lastly, I think in the opening remarks I heard that the repayments continue to be very elevated, kind of prepayments in our wholesale business, which is a major growth headwind. So, I mean, are these refinancings happening by other players or how should we read it? I'm sure this is not personal equities that those customers are bringing in. Jairam Sridharan : Yeah. Thank you, Abhijit for your questions. On your first one, on kind of IT salary. Again, I don't want to make too big a fuss about this point. It's a new and emerging insight in our minds as well. It's just in the last few weeks that we have noticed this. So, take it as kind of breaking news rather than as kind of some foundational shift. We don't know enough to state that. However, as always happens in our company, the moment you come across any insight, immediately some actions go into place, some changes in underwriting strategy etc. get implemented. So that has already happened and we have taken kind of appropriate measures internally to slightly add to the level of caution that we have on this segment,

but it's not a 0 -1 game, it's a Bayesian approach of like you, there is a strong prior which is that salary segments are good and IT segment is good, but that prior has been challenged a little bit with the recent data point, but we are not going to give up on that prior, we're just going to update it a little bit and that's exactly the way we have operated and actually changed some of our underwriting strategies on the margin.

On your question on return on AUM, I'd like to point your attention to slide number five, where we show our multi-year trajectory on return on AUM. And as you can see here in the left-hand side of the chart, Q1 is always the seasonal low on return on AUM and Q4 is kind of the seasonal high. Last year you saw that delta of about 60 -70 basis points going from Q1 to Q4.

This year, we've started at 1.9% or 1.8% if you remove POCI and kind of we've guided for 2.5% for Q4. I feel pretty strongly, pretty good about our ability to kind of hit there. I have no issues on that front. Generally that tends to happen by just having a larger book that is that that you've originated through the course of the year. But essentially the same people costs now because all the people cost, kind of increment increases etc. all come into play in Q1, but then beyond that, the stock of people that you have, you're not going to see any further increase in staff costs. Only the incremental staff is actually going to increase your OPEX. So that dynamic is going to continue to result in better performance going from Q1

16 Jul 2026

Page 12 of 23

to Q4, which is exactly what happens every year. This year is going to be no different on that.

Your last question on wholesale and where are we seeing the kind of repayments from? I'll give you an answer and I'll invite Yesh to speak as well. On both real estate and on CMML, we are seeing very strong repayments. In CMML, the source is either one of three things. Refinance is a strong source. There is a lot of refinance that's happening and banks are taking us out. The second is raising money from either from the capital markets, either debt or equity, both of those are taking place. And the third is operating cash flows just being stronger than our underwriting case. All three things are happening in that order. I think the order is a little different in the real estate business, but I'll let Yesh speak to it.

Yesh Nadkarni : Yeah, I think it's predominantly the operating cash flows being way ahead of our underwriting which is causing this prepayment phenomena in the real estate book. In real estate particularly the underlying assets generating cash is trapped and since these are not operating companies, rather asset monet

ization which funds the repayments and therefore, in a way

we incentivize the borrowers to prepay should they be running ahead of underwriting and that's what's happening. More so than capital markets related or refinancing related exits.

Abhijit Tibrewal : Got it. Thank you for that. Just wanted to squeeze in one last question. Jairam sir, you mentioned that our portfolio is not seeing any visible impact of West Asia conflict. So, in particular this unsecured business loans that we do, while we can see the 90 +DPD, the portfolio continues to behave well, right?

Jairam Sridharan : Yes, I didn't get the last part of your question, but I'm guessing you're talking about the unsecured business loans portfolio in light of the kind of Middle East war situation. Yes, it has surprised me a bit, honestly. It has surprised me how little impact we have seen. Risk continues to look good, collection efficiencies are strong, kind of resolution rates are strong and my conversations on the ground with small business owners continues to suggest that there is ongoing strength in their revenues, footfalls, etc. So, yeah, the situation continues to be quite encouraging. I don't know whether there's going to be a lagged impact, so we will wait and see. But at least as things stand right now, small businesses in India continue to be in a pretty strong place and the Middle East crisis has not impacted their cash flows much at all.

Abhijit : Okay, thanks a lot for answering my questions and I wish you and the team the very best.

Jairam Sridharan : Thank you, Abhijit.

Moderator : Thank you. The next question comes from the line of Suraj Das with Sundaram Mutual Fund. Please go ahead.

16 Jul 2026

Page 13 of 23

Suraj Das : Am I audible?

Jairam Sridharan : Yes, Suraj.

Suraj Das : Yeah, hi sir. Thank you for the opportunity. Three questions. First, if I look at your slide 48, the retail disbursement yield and AUM yield number for the last let us say 8, 9 quarters, the disbursement yield has been around 14, 14 and a half, while the portfolio yield has remained more or less range bound at around 13%. And at the same time, I think the retail portfolio mix has also changed and the share of low yielding housing has also come down. So, ideally the portfolio yield should move up, right, over a period of time, which is not happening. So, where is the mismatch? So, that is question one. Second, sir, if I look at your

slide 24, where you present this income band of the customers acquired at urban branches. So, if I look at your ticket size of home loans and LAP, it looks like only 14, 15% of the customers contributes to your entire home loan and LAP AUM, which is roughly 60% of the AUM. So, is this understanding correct or if there is any mismatch here?

And the last question is sir, as you have highlighted that there are some signs of, you know, stress in the IT salary segments which you are seeing. But I think more or less overall 30% of your unsecured disbursement comes from the cross sell to let us say existing customers. Any signs of stress there in that 30% cross sell segment? Yeah, those are my questions.

Jairam Sridharan : Yeah, thank you, Suraj. Thanks for asking some really hard questions. I'll try and answer them to the best of my ability. First, your question on the delta between disbursement yield and portfolio yield. In general, you're going to always see this, Suraj. Disbursement yields are always going to be higher than portfolio yields because portfolio yields depend on AUM and disbursement yields tend to be higher on shorter duration products. So, they tend to run off. So a lot of those products will be overrepresented, high yield products will be overrepresented in disbursements compared to AUM always. So, on a systematic basis, you're going to see the AUM yield to be lower than disbursement yield. It's just mathematical based on the duration.

Ravi Singh : On the same tab

le we have disbursement mix by loans and AUM mix, you can see that secured has a lower share in disbursement.

Jairam Sridharan : Yeah, exactly. The point Ravi is making, you can see the secured versus unsecured disbursement mix and on the on the same page, page 48 and you will draw that. So that that funda is always going to be true that there is always going to be a gap between disbursement yield and the and the AUM yield. The question to ask is, if disbursement yield goes up, eventually the AUM yield will also go up. That part is true. So, directionality will hold, but the gap will not get bridged because of this math.

16 Jul 2026

Page 14 of 23

Your question on slide 24, which is on the on the customer profile thing, I actually didn't understand the point about concentration in HL and LAP that you mentioned because that's not actually true. The page 24, when it actually shows the profile of customers, which is for all branch-based customers. So that is HL, LAP, UBL, UCL, personal loans, everything put together. So because personal loans, UBL etc tend to be smaller tickets and much larger number of customers. So by sheer number of customers, those will dominate actually on these pie charts. The HL customers will be much smaller number. That is always going to happen because HL is the largest ticket retail product we have. So it will always have the smallest number of customers. Beyond that, there is no insight. There is no concentration risk in HL if that's where you're headed, because it is a fairly granular product. There are no customers who are a big part of our HL portfolio.

Your third question on the cross sell. Yeah. your point is right, 28, 29% of our business is cross sell. Your question was what is of the unsecured is cross sell and your question was what is the signal? Is risk increasing, decreasing, what's happening? Risk in our cross-sell business is stable to decreasing. So we're feeling pretty good about our cross-sell business and the credit impact has not been on a stock basis, it obviously has lower risk than the new to Piramal business, but even on a flow basis, it's actually getting better and we're not seeing kind of any deterioration signals in the cross-sell business. So it continues to be a key focus area for the future.

Suraj Das : Sure sir got it. I have a couple of follow ups but probably I'll come back in the queue or take it offline. Thank you so much.

Jairam Sridharan : Thank you.

Suraj Das : Okay, sir.

Moderator : Thank you . The next question comes from Avinash Singh with Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh : Yeah, hi. good evening. Thanks for the opportunity. One question on your co-lending arrangement, particularly if I see from the disclosures, it's mostly on the personal loan side.

And there if I see, I mean, you know, the ticket size would be slightly on the lower side as per kind of your PL mix. So nearly 2,700 odd crores worth, 99% in kind of a standard asset.

Generally I would expect this to be typically high yielding and slightly higher credit cost and maybe a bit worse kind of a, you know, the asset quality matrix here. So can you just help us in terms of what kind of partner they are where you have co-lending arrangement, FL DG arrangement kind of a thing and how sort of you know, really the accounting works. I mean,

16 Jul 2026

Page 15 of 23

is there something that typically you write off immediately or something because 99% plus kind of a, you know, the number in this co-lending PL, it looks quite impressive.

Jairam Sridharan : Yeah, no, you've answered yourself. What you're saying is absolutely correct. That's exactly

what's happening. See, basically the way our co-lending business works is with mostly it's smaller ticket, short duration, and it is mostly on an FLDG basis, 80 plus percent of it is on an FLDG basis. When an account gets to 90 plus, within 30 days, we

recover the money

from our partner and hence the delinquency goes back to zero, right? And if any amount is remaining at the end of that period, by 150 days we make the 100% provision on that case. So basically, not much remains in the account, immediately either the money collects within 30 days. Because that's the FLDG norm that you have to collect from your partner, which we do, or we provide for it pretty quickly and that's why you don't see the delinquency build up.

Avinash Singh : Got it. And the second question will be, that in the initial part of your presentation, you made a statement that now with this rating upgrade, your ability to go slightly on the higher ticket size home loans increases. Now, but if I see, it will also have certain impact on the yield, I mean, of course, not immediately, but gradually if that is a direction, the yield will come bit under pressure. Also by that nature, it makes any sort of a change you know, the way you are looking eventually the stable asset to equity ratio of 4 and 4.8 to 5x kind of a number. Now given that typically if you go more into relatively low yielding, high ticket home loans, typically, I mean, it will have some, you know, pressure on your margins. Do you see that okay, that I mean, going more into high ticket secured home loan allows you to sort of a tweak the medium term, you know, the leverage kind of a, you know, target or something in order to improve your ROEs or just 4.8 to 5 times kind of a remains upper cap?

Jairam Sridharan : Yes, I think, again your question contains the answer. You're absolutely right that lower risk but a larger ticket businesses allow us to move up on leverage. The 4.5x to 5x leverage that you see on page number five, the goal that we had set out, was a goal that we had set out more than two years ago, as you know. We've -- continued to just show that as the kind of long-range goal, but that was in a time when we were AA rated.

Since then, we have become AA+ rated and our portfolio continues to shift in the direction of better risk. So, at some point in time, we will update this trajectory and hopefully we will, as you know, as you truly become an AA+ lender, today we are still an AA lender. As we become an AA+ lender, our ability to get to higher leverage will certainly increase. That is true.

On a more tactical short-term basis, as you well know, if as long as you know, there is I'm able to make kind of you know, positive marginal ROA on these businesses, because I'm not

16 Jul 2026

Page 16 of 23

incurring any incremental cost, it is always going to be better for the overall profitability of the business. So right now it's a little bit of a no-brainer for us to actually just move slightly up. It will you know, with no incremental cost, it will actually get us kind of higher earning assets and there is very little downside.

And of course, the improvement in the credit risk profile over the medium term is the icing on that cake.

Avinash : Got it. Very clear. Thank you.

Jairam Sridharan : Thank you, Avinash.

Moderator : Thank you. The next question comes from Piran Engineer with CLSA. Please go ahead.

Piran Engineer : Yeah, hi team. Congrats on the quarter and thanks for taking my question. Firstly, just kind of coming back to this question on leverage. Since we are anyway comfortable on leverage, why are we considering this capital raise?

Jairam Sridharan : Yeah, so, there are two different things here, Piran. Like there is this leverage metric as we show here, which is AUM to equity. Then there is a regulatory capital adequacy. If you see our regulatory capital adequacy, which we have in our deck on page 39, you will see that our capital adequacy entered the quarter at 18.85%. As we've spoken in the past, like if you purely go from the leverage metric to get to capital or if you just look at our net worth number, which is about 29,000 crores and our AUM which

is about 1 lakh 6,000 crores, you

might get a little bit of a feeling that capital adequacy should be more in like the 25% kind of range, but actually, if you see regulatory capital adequacy, it is 18.85%.

Why does that delta come? That delta comes because of three main reasons. One is BAU stuff, like which happens with all lending companies, which is about one-third of that delta, about 3,000 crores of delta, you know, comes from BAU things like unamortized revenue line items, etc., which are deductible from net worth. So that's BAU, that'll never go away. But because we have all these DTAs, etc., and those tax benefits, that creates a Rs. 3,000 crore delta from our net worth to regulatory capital. And another Rs. 3,000 crore delta comes as we look at our investment book, which is the whole Shriram book and the Pramerica Life Insurance book, etc., All that stuff together constitutes another Rs. 3,000 crores. So Rs. 3,000 + Rs. 3,000 + Rs. 3,000, there's a Rs. 9,000 crore delta between our net

worth and our regulatory capital.

Our regulatory capital today is at about 18.85%. Last year on average, we consumed about 63 basis points on average per quarter. So basically, we have mentioned to you all in the past as well that while regulatory requirement on capital adequacy is 15%, as a management team, we would feel a lot more comfortable if we stayed above 18%. Since

16 Jul 2026

Page 17 of 23

we are at 18.85% right now, we thought this is a good time to seek an enabling resolution to be able to raise capital as and when necessary, through the course of the year.

Piran Engineer : Got it. But sorry, this entire 18.85 % would be tier one, right, for you all?

Jairam Sridharan : Yes, we do not have any tier two.

Piran Engineer : So then why not just do tier two?

Jairam Sridharan : That is a way to go, but the tier two market today is very shallow, and the rates are not great, and it is in the long run, the math is not working out for us. This is actually seeming and let's see, we might like right now we're taking an enabling resolution, we will take all sorts of we have kept as you see the number of instruments that are listed out there in the enabling resolution, we have kept lots of things open. We will see.

Piran Engineer : Got it. And sorry, even just getting back to this, when the DTAs as and when they get used, then that will be part of your regulatory equity capital.

Jairam Sridharan : Correct. You're absolutely right. And similarly, as and when we are able to sell some of the investments, that capital will also get released. So, you're right, there is a lot of regulatory capital in the balance sheet which will all get released with events in the future, but those events are going to be a little bit more out in the future, not in the next two or three quarters. And but they will come, all that will get unlocked over time.

Piran Engineer : Understood. Okay. Secondly, out of our Rs. 900 crore quarterly opex, how can we think of how should we think about how much is fixed versus variable? Because a lot of the thesis also rests on operating leverage playing out. Yeah. But then a lot of these businesses grow only when you add more money to it, right?

Jairam Sridharan : Right. But see, in the business, like I'm not a big fan of the fixed versus variable kind of split because it's not super clear exactly what is fixed. Is branch cost fixed? I don't know if you know, beyond a point, like to grow, you'll need to add more branches. Are people cost fixed? I don't know. Like today's people cost are fixed, but then you'll have to add more. It's not clear exactly what is fixed, right? In a growth market, nothing is really fixed. The other way, the way I would actually think about it is how we have been able to move core line items as AUM has grown. So how has kind of staff opex grown, how has kind of IT cost grown, you know, how have rentals grown, etc. because everythi

ng grows, but are they

growing at the same pace as AUM?

In the in this Q1, for example, you will see that our book grew let's say 25%, our revenue lines grew something like 40 odd percent, and our opex line grew 10%, right? So you can see that our opex is growing significantly slower than our revenues are growing. And that's

16 Jul 2026

Page 18 of 23

the trajectory we need to continue to maintain as we keep showing in that opex to AUM trajectory, we've been showing now for a two and a half years, every quarter we keep updating that that chart which is on slide 16 on the right-hand side. That is our go-to page for ensuring that we are actually making progress on operating efficiency and you will see that that continues to be downward sloped and hence I believe another 40, 50 basis points of value can be extracted from here over the next four to five quarters.

Piran Engineer : Got it, thanks. And just out of curiosity, your token usage of 320 billion, would that be costing like single digit, few, low single digit crores per quarter?

Jairam Sridharan : Yes.

Piran Engineer : Got it. Okay. Yeah, that's it from my end. Thanks, and wish you all the best.

Jairam Sridharan : Thank you.

Moderator : Thank you. The next question comes from Nishchint with Kotak. Please go ahead.

Nischint : Hi thanks for taking my questions. One was essentially the asset quality trend, the 90 DPD trend that we are seeing in LAP. There is a small sequential rise. You know, is there anything that one needs to read into it? And likewise, for the 90 DPD 12-month book performance of digital loans this quarter.

Jairam Sridharan : Yeah. So, it's a good question on LAP. You know, Nishchint, you might recall that two quarters ago, I was worried a little bit about LAP, and I'd called that out on the call as well that you know, there's something going on. But then last quarter came in very, very strong. So, our kind of fears got allayed a little bit. But in Q1 again, you see a small uptick. I don't know, is the honest answer. Like I don't know whether there is anything worth kind of you know, worrying about. Right now, I know the exact cases and there are four cases which have caused this uptick. I know exactly what those cases are and you know, one of them is

a medical situation, the customer had cancer, another one, the customer is you know, has been sued by his partner and there's an issue. There are some there are very kind of idiosyncratic situations, but that's how credit cycles sometimes come. Well, it seems like a series of idiosyncratic things, but then it becomes a cycle. So, let's say my seat belts are very much on in the LAP business, and we have to keep watching. Let's see. You know, the second quarter has started well for this business, and if what we saw in this July continues, then we'll probably have a better situation by the end of the second quarter. But yes, Q1 has taken away some of the sense of comfort that I had developed in Q4, that's for sure.

16 Jul 2026

Page 19 of 23

Nischint: Would you compare this, I mean, I'm just comparing this with UBL, right? I mean, would you expect a similar trend, although I can see that the UBL performance has improved significantly in the last two quarters. But still would you be kind of feeling some thing?

Jairam Sridharan: No, in UBL when situation was worsening, I mean, it was very, very clear the situation is worsening. And all the collections guys were up in arms, and we could hear the feedback that, you know, customers are stretched, that there is an issue, etc. That situation is not there in LAP currently. In LAP you know, there are kind of one or two odd cases here or there that are kind of giving us some pause, but systematically we are not hearing any anxiety or concern from the ground level.

Nischint: Actually, the second part of my question was also on digital loans, the 12-month pool performance?

Jairam Sridharan:

Yes, for sure. Digital, see, it has been a very, very strong last few quarters in digital. And as I mentioned to one of the earlier questions, the way you should think about our approach to digital is that our volumes in digital can move up or down quite meaningfully based on what we see in the risk levels. So, this is one business where the beta is actually quite high.

Nischint: And this is largely embedded finance, right?

Jairam Sridharan: Yes.

Nischint: Got it. And just one last point on this, on the IT sector stress or not stress, but rising delinquencies down South. Is this a kind of an infant mortality or is it something which is for the seasoned pool that you are seeing these trends?

Jairam Sridharan: No, no. It's more for the seasoned pool, but these are early-stage risk. So, I'm not talking 90+ or something. I'm talking kind of bounces from current. So, these are very early risk signs. These are not deep delinquency signs. But yes, we are seeing early signs.

Nischint: Got it. And if just a last one if I can squeeze, why is branch penetration low in salaried PL?

Jairam Sridharan: See, salaried PL, I mean, we want to make it higher. We are on it. Currently, the choice we had originally made is that we will staff the branches with PL staff, and that requires a certain assessment of a basic level of PL business volume that is doable in the branch for it to be economically viable.

But increasingly we are moving to some other people models which will help us actually increase penetration. My intention is to get to 100% branch penetration on PL over the next two to three quarters. You should expect to see significant improvement in that number in the next two quarters.

16 Jul 2026

Page 20 of 23

Nischint: Got it. Those were my questions. Thank you very much and all the best.

Jairam Sridharan: Thank you, Nischint.

Moderator: Thank you. Your next question comes from the line of Anand Dama with Nuvama. Please go ahead.

Anand Dama: Hi, thank you for the opportunity. My question was on the mortgages. We have seen competition actually going up, particularly from the banks, the other NBFCs as well. Do you see price competition coming up very strongly in that space? And if you look at this quarter, your Growth NIM has actually come down by 20 basis points quarter-on-quarter. What do you attribute that to? Is it a portfolio mix or anything else, can talk about that?

Jairam Sridharan: So there are two parts to your question. One is on mortgages and what's happening, and the second one is on a quarter-on-quarter NIM trajectory and what has happened to NIMs and why NIMs have compressed from Q4 to Q1. Let me take the first one, I'll give you a broad answer on the second one, and I'll also ask Vikash to share if he has anything extra to what I'm saying on the second question.

See, these two are not related. What's happening in mortgages is, you know, in terms of competitive intensity, it might feel to you from the outside like competitive intensity is increasing a lot. Actually, it's not increasing honestly. Like it is the same number of players that have been there.

I'm not seeing a whole lot of new HFCs being created. Yes, more HFCs are now listed or more of the companies are now actively talking about this strategy. So, to an investor or public markets investor, it might appear that there is a lot of competition that is increasing.

But as operators on the ground, we have not actually seen that.

Like we see the same guys that we saw a couple of years ago, the same people are operating. We're not seeing any new name, like whom we didn't see before. If anything, if you talk in the affordable segment, which is less than 35 lakhs housing, people might say that the big increase in competition is the emergence of Piramal over the last, you know, four -five years.

Our emergence as a player who's operating at the 12.5% range in that segment is probab

ly

the big new item that has happened in that market. So if anything, we are the disruptors and have been over the last four -five years in that market. On a quarter -on-quarter basis, I'm actually not seeing that much incremental, you know, competitive intensity. What is true, though, is that organically the demand levels are low in small ticket housing.

16 Jul 2026

Page 21 of 23

And hence you're seeing all the small ticket -oriented housing kind of companies either struggle a little bit for growth or look for growth in LAP or in larger ticket, right? And you see that in our numbers as well. The smaller ticket organically just the growth numbers are just not there. At an industry level, the growth -- the industry is growing very low single digits or even in some pockets negative.

And that's just the reality of what's happening in small ticket housing loans right now. On NIM, there's a very minor delta between Q4 to Q1. A lot of it is optical, there isn't anything real. Corny as it sounds, because in retail we are on an EMI -based model where the interest level applicable is the same every month. Kind of, you know, 90 days versus 91 days in the quarter tends to make a difference in terms of what the published percentages are on yields and NIMs, and that delta is itself about 10 basis points in this quarter.

So the 90 -day versus 91 -day story is a 10-basis point story within retail because of the EMI structure. But Vikas, you want to say something else on NIM from the quarter -on-quarter basis?

Vikash Singhla: If you see slide 44, our NIM for growth book is in the range of 6.9% to 7%. In this quarter, as I said, we chose to do lower DA. That has an impact of roughly 17 to 20 bps in this quarter.

Jairam Sridharan: Yes, that's a great point. So basically, the slowdown in DA also reduces NIM. And that's a choice we exercise. Sorry, just to be super clear, how much DA we do is a little bit of a choice. DA is a pinch hitter. You bring the pinch hitter in when you need it. You don't need the pinch hitter in every innings. In this innings, we didn't feel the need for that, so we didn't do much DA.

Anand Dama: Yes, sure. And secondly, the capital raise that you're planning to do, you very well explained that, but is there a possibility that we could look for some kind of an inorganic acquisition once we have capital in place? And if so, maybe, you know, though it is an enabling resolution, I think we might go for it?

Jairam Sridharan: There is nothing imminent. We have said in the past as well that in theory we remain open for inorganic opportunities. The Piramal house has consistently used M&A for active value creation for shareholders in the past. We remain open, but these two things are not related. We're not on the cusp of anything, we're not trying to fund any particular inorganic opportunity, etcetera.

You know, as I said before, we've taken an enabling resolution to raise capital for growth, and our growth is pretty rapid right now and we will see what the best instrument and the best timing is to raise that capital. And along the way, during the course of the year or next

16 Jul 2026

Page 22 of 23

year, if there are some appropriate inorganic opportunities that come up where the valuation is also right, we will actively consider it, but nothing is imminent.

Anand Dama: Sure. Lastly, you know, you talked about the salaried IT segment where there is some stress. We also picked up something similar what you said from our channel checks, and we picked up that, you know, in the early buckets, the delinquency has actually gone up by about 250 to 300 basis points.

But can you just sort of talk about what's the flow rate into the next bucket? You see this as more of a transitional impact or possibly this could lead to some kind of stress building up into our digital or the salaried PL segment for us?

Jairam Sridharan: Right now, too early. We hav

e not seen any flow, actually. It's the metrics we're seeing are

still at the very early buckets. We have not seen actually flow happening down to later buckets or into NPA, etcetera. So, we are watching it closely. I mean, what I shared with you is kind of you know, fairly hot off the presses, kind of news. I want to caution everybody against making too much of it.

Sometimes these signals come and they just fade away, we don't know. But there is an

important signal given all the narrative around AI and what it is doing to India IT sector, etcetera. I thought it might be a soundbite worth sharing with you all, but I don't want to make too much of it yet. It's too early.

Anand Dama:

Moderator:

Subramanian K:

Jairam Sridharan:

Understood. That's super helpful. Thanks, thanks.

Thank you. Ladies and gentlemen, we will take the last question from the line of Subramanian K with I TUS Capital. Please go ahead.

Congrats for the good set of numbers. My question is on the PCR. So, it is actually gradually improving in the last two quarters. So how do you think it will be going forward?

Yes. See, in an Ind AS framework, PCR is not a metric that one targets. PCR is an output, not an input to our decision-making. The reason PCR has increased in this quarter is that we have chosen to actually increase some of our ECL model assumptions and some of the kind of, you know, minimum floors on provisions in the quarter, partly inspired by RBI circulars which were targeting banks. And we asked ourselves the question, if such a thing were to be applicable to NBFCs as well, you know, would there be an impact on us? And if so, maybe we should just do that even though the circular is not applicable to us. That kind of thing is all embedded in why you're seeing PCR increase, but it is not something that we are

16 Jul 2026

Page 23 of 23

Subramanian K:

Jairam Sridharan:

Moderator:

Jairam Sridharan:

Moderator:

specifically targeting. It will be driven by what our ECL models suggest, what our LGD assumptions are, and most importantly what the product mix is.

If the stage three is dominated by housing, your PCR will be low. If it is dominated by unsecured, PCR will be high. And if we keep writing off the unsecured, then again PCR will become low, right? So, these are management choices. Specifically looking at PCR metric without having the full context of the mix, etcetera, is likely to be more misleading than useful.

Okay, thank you.

Thank you, Subramanian.

Thank you. I now hand the conference over to Mr. Jairam Sridharan for closing comments.
Thank you and over to you, sir.

Hi, thank you everybody for your time and your great questions. I look forward to hearing more from you offline if you have any other questions for us. Our IR teams are open for any additional information you might seek. Thank you very much for attending and have a great evening.

Thank you, members of the management. On behalf of Piramal Finance Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.